

pax silica and the philippines

An independent review of the Economic Security Zone proposed at New Clark City in Tarlac, on 1,618.74 hectares. What has actually been signed, what is only being claimed, what the land and the grid can really support, and what the Philippines gains or loses either way.

updated daily · new information is adversarially
verified before anything here changes · maintained by AI
under human editorial direction

[read the six findings →](#)[explore the exhibits](#)**US\$0**

INVESTMENT LEGALLY
COMMITTED AT THE CUTOFF

14 / 16

IMPLEMENTATION GATES
STILL OPEN

-15.6

NET PUBLIC SENTIMENT
ACROSS 21,878 MENTIONS
TO 1 SEPTEMBER 2026

+2.5pp

NET NEW TARIFF ON
PHILIPPINE GOODS FROM
THE COUNTERPARTY, 24
JUL 2026

59 DAYS · ASEAN SUMMIT, NOVEMBER 2026

This report sets seven conditions that should be met before anyone signs. **none is met** as at the latest verification.

THE ASSESSMENT AT A GLANCE

Neither endorsement nor rejection: seven preconditions that should be satisfied before signature.

1,618.74 ha

STATE LAND OFFERED –
17.1% OF NEW CLARK CITY,
CAPAS AND BAMBAN, TARLAC

nothing binding

NOT FINANCED, CONTRACTED
OR PERMITTED AT PROJECT
LEVEL; FOURTEEN OF
SIXTEEN GATES OPEN

**US\$40–70
billion · 130,000–
190,000 jobs**

HEADLINE CLAIMS THAT NO
PUBLISHED MODEL
RECONCILES

90 MLD water

RAINWATER CAPTURE NEEDS
90%–193% OF THE ENTIRE
SITE UNDER PLAUSIBLE
ASSUMPTIONS

3 GW power

ABOUT A FIFTH OF LUZON
PEAK DEMAND; THE GRID
RAN A 373 MW DEFICIT IN
MAY 2026

november 2026

FRAMEWORK SIGNATURE
WINDOW – SEVEN
PRECONDITIONS SET,
NONE MET

LATEST REPORTING

in the news

newest item 1 September 2026 · 10 items · checked daily, verified before listing



MALAYA BUSINESS
INSIGHT • 1
SEPTEMBER 2026

Malacañang says no AI data centers planned for Clark hub

[read at malaya.com.ph](https://malaya.com.ph) →



GMA NEWS ONLINE • 1
SEPTEMBER 2026

DA still assessing Pax Silica's impact on agriculture

[read at
gmanetwork.com](https://gmanetwork.com) →



DAILY TRIBUNE • 31
AUGUST 2026

Aetas draw line on Pax Silica

[read at
tribune.net.ph](https://tribune.net.ph) →



BUSINESSMIRROR • 31
AUGUST 2026

Maynilad, K-water advance in ₱14.8-B New Clark project

[read at
businessmirror.com.ph](https://businessmirror.com.ph) →



ABS-CBN NEWS • 31
AUGUST 2026

Anti-Pax Silica group launched

[read at abs-cbn.com](https://abs-cbn.com) →



THE MANILA TIMES • 30
AUGUST 2026

US defends Trump's tariffs on Asian allies

[read at
manilatimes.net](https://manilatimes.net) →



THE MANILA TIMES • 30
AUGUST 2026

Clark is economic investment anchor

[read at
manilatimes.net](https://manilatimes.net) →



BULATLAT • 28
AUGUST 2026

Critical minerals policy framework linked to Pax Silica?

[read at bulatlat.com](https://bulatlat.com) →



GMA NEWS ONLINE • 27
AUGUST 2026

BSP's Remolona points to boosting exports, Pax Silica to support PH peso

[read at
gmanetwork.com](https://gmanetwork.com) →



ABS-CBN NEWS • 26
AUGUST 2026

Palace promises Pax Silica deals 'won't disadvantage' Philippines

[read at abs-cbn.com](https://www.abs-cbn.com) →

sources • linked publishers; each item opens the original article. Headlines are the publishers' own claims, not this report's findings.

01

six findings

the instrument does not describe the project

01

The only published Philippine legal instrument proposes a bilateral coordination office and states that the property "shall be used exclusively" for five coordination functions. It contains no reference to semiconductor packaging, data centres, mineral processing, or private locators. The public prospectus has no published legal basis.

0

the headline figures do not reconcile

02

Pairing US\$40–70bn with 130,000–190,000 direct jobs is unreconciled and jointly implausible: constructible on paper, but only with more back-end employment in this one site than the whole national industry supports today. The claimed PHP 68–75bn of annual withholding tax, which BCDA has confirmed is payroll withholding, implies average pay of PHP 2.13m, 2.4 times what a Philippine semiconductor engineer earns. The named anchor is expected to generate "thousands."

2.37x

water and power are unsolved, not solved

03

Harvesting 90 MLD from rainfall needs a catchment of 1,460–3,129 hectares, or 90% to 193% of the site. 3 GW is 19.2% of the DOE's 15,600 MW projection for 2026 Luzon peak demand and 20.6% of the 14,534 MW actually recorded by mid-2026, on a grid that ran a 373 MW deficit under red alert in May 2026. The DFC is funding an LNG feasibility study, not a solar one.

15,000 ha

LAND A SOLAR-POWERED 3 GW WOULD
NEED. THE SITE IS 1,619.

the counterparty relationship is asymmetric

04

On 24 July 2026 a US 12.5% forced-labour tariff on Philippine goods took effect. Narrower than the headline: semiconductors and other Section 232 articles are exempt, and it replaced an expiring 10% measure, so the net increment is about +2.5 points. The direction is what matters. The Philippines is being asked to grant land, water, power and rent forgone in exchange for a non-binding declaration and feasibility studies.

+2.5pp

NET TARIFF INCREMENT, FOUR MONTHS
BEFORE THE PHILIPPINES IS ASKED
TO SIGN

the public has already turned, and on the unanswered questions

05

Relabelled on one scheme from January to late July — by the same software that labels the daily collection — the arc is steeper than first measured: the conversation ran clearly positive toward the project in its early months, between +25 and +51 net, fell to +5.3 in June, and

the strategic case is genuine, and some criticism is wrong

06

Comparative non-entanglement with Chinese capital is a real and time-limited asset. BPO at 7.4% of GDP faces AI displacement. And some of the most widely circulated environmental critiques do not survive scrutiny: silicon rather than nickel is the semiconductor input, and the

collapsed to -35.6 in July. The economics are argued both ways. Water, land and governance are not debated at all: in the sampled export analysis they run at net -44, -50 and -54. The running exhibit above tracks the conversation daily.

-35.6

NET SENTIMENT IN JULY, THE MONTH OF MOST CLAIMS AND FEWEST DOCUMENTS

light-pollution claim, while a legitimate and mitigable screening item, is substantially overstated as popularly framed.

7.4%

OF GDP: THE BPO EXPOSURE THAT MAKES AN ALTERNATIVE ENGINE URGENT

02

node, or not

What matters is whether the terms on the table in November beat the alternative. Both columns below are real; neither is costless.

PATH ONE

as a pax silica node

WHAT THE PHILIPPINES GAINS

A named position inside an allied supply chain while comparative non-entanglement with Chinese capital is still a credible, time-limited asset.

A credible upgrade path from back-end assembly into advanced packaging, where industry value is migrating as transistor scaling slows.

An alternative growth engine as BPO, at 7.4% of GDP, faces AI-driven displacement.

BCDA's projected PHP 60bn of lease income over 25 years, plus the option value of first-mover designation in a network intended to span continents.

Access to allied capital, the Stanford Foundry School curriculum, and Luzon Economic Corridor infrastructure momentum.

WHAT IT CARRIES OR FORGOES

1,618.74 hectares committed, possibly for 99 years, at a rent that is currently "to be discussed."

3 GW on a grid that ran a 373 MW deficit under red alert three months before this report.

65–90 MLD of what is, at that scale, watershed water, in a Type I climate with a pronounced dry season.

An unquantified tax expenditure under CREATE MORE, including a 100% additional deduction on power for a multi-gigawatt load.

A named role in a strategy whose own fact sheet states the objective of displacing rival supply chains, borne physically by the Philippines.

PATH TWO

outside pax silica

WHAT THE PHILIPPINES GAINS

No 99-year commitment, no grid increment, no watershed claim, no geopolitical targeting exposure.

The same capital, political attention and institutional bandwidth could close the ~50% industrial electricity cost gap with Indonesia and Vietnam, which benefits every existing locator, not one zone.

Freedom to lead with minerals leverage rather than land concessions, on the Indonesian model.

Supplier development and workforce programmes for an electronics base that already earns US\$46bn a year.

WHAT IT CARRIES OR FORGOES

Forgone lease income of BCDA's projected PHP 60bn over 25 years, with a present value of about PHP 25.6bn.

Forgone option value on a strategic position, and reputational cost with Washington.

The allied-advantage window is time-limited and closes without being used.

The manufacturing gap keeps widening while Malaysia moves into semiconductors, Thailand into automotive and Indonesia into nickel processing.

THE ASSESSMENT'S OWN POSITION

Neither endorsement nor rejection. The Philippines should decline to sign in November unless seven disclosures and binding conditions are satisfied first. Its negotiating position will never again be as strong as it is between now and then: it holds the asset, it has not yet signed, and the counterparty wants a deliverable for a presidential visit tied to the 80th anniversary of bilateral relations. A deadline set by another country's summit calendar is the worst possible reason to accept undetermined terms.

03

the exhibits

Fourteen working models. Every input is a published figure; every formula is shown. Move the controls and the arithmetic moves with them.

EXHIBIT 01 • WATER

the catchment does not fit on the site

$$A = V \div (R \times C)$$
$$V = \text{demand} \times 365 \times 1,000 \text{ m}^3$$

daily demand 90 MLD

BCDA states 65–90 MLD demand and 120 MLD design capacity, expandable "to as much as 300 million liters per day through advanced technology".

annual rainfall 1,900 mm

CATCHMENT REQUIRED

3,144 ha

AS A SHARE OF THE SITE

194%

DRY-SEASON STORAGE, 180 DAYS

Site-specific rainfall data are unpublished. The range covers normal rainfall for this part of Central Luzon.

runoff coefficient 0.55

0.90 happens only if nearly the whole site is paved over, which contradicts the promise to keep 40% of it open space.

16.2 million m³

BOTH BARS ON ONE SCALE • 0 TO 3,332 HA

the site: 1,618.74 ha

catchment needed: 3,144 ha

At these parameters the catchment required is larger than the entire parcel. The water must come from beyond the site boundary, which makes it watershed water, and therefore water that Tarlac's households and irrigators are already using.

The maths proves something narrow, but decisive. BCDA's plan to catch the water on the site itself fails at the top of BCDA's own demand estimate. At 65 million litres a day, with good rainfall, catching it on site is arguable. At 90 million, it is not. What taking that water would do to people downstream is a separate question, and the maths cannot answer it. Holding water back could capture rainy-season flow that currently runs to the sea unused. It could equally cut the supply people depend on in the dry months. Telling those two apart needs a study of the whole river system, including how much water it has to keep flowing to stay healthy. No such study exists. Until one does, the burden of proof sits with BCDA. BCDA has since described an expansion path to 300 MLD, at which every figure here scales by 3.3 times, to a required catchment of roughly 4,900–10,400 hectares. The storage figures are rough upper limits for a first check, not an engineering design.

3 gigawatts has to come from somewhere

share of energy served by solar

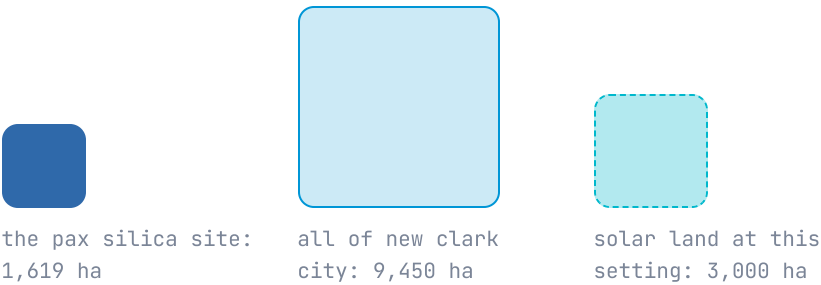
all gas

20%

all solar



SOLAR LAND REQUIREMENT, TO SCALE



This is closest to what the record actually supports. The DFC-funded ≥1,200 MW LNG study is the only firm-generation option currently under study, which is not the same as a committed plan; no energy plan of any kind has been published.

THE REGULATOR'S OWN VERDICT • 27 JULY 2026

"If you put it on the grid, and then suddenly this 3 gigawatt demand will be lost, the grid will just shut down... It's too dangerous for our usual consumers."

ENERGY SECRETARY SHARON GARIN, INTERVIEW WITH RAPPLER, 27 JULY 2026



3–5 yrs

TO BUILD CONVENTIONAL
GENERATION; ABOUT 10
FOR NUCLEAR

Her preferred configuration is a stand-alone system with its own generation, renewable or gas. On 9 August BCDA said proponents are studying a dedicated power plant so the facility would not jeopardise residential supply — directionally consistent with the regulator's own-generation requirement, though a study establishes neither a stand-alone configuration nor capacity. The interview puts the load at about 19% of Luzon's projected 2026 peak, matching this report's figure by an independent route, and notes it is close to the entire Visayas grid. The 1,300 MW gap is what is left after counting 500 MW of ACWA solar and the proposed 1,200 MW of LNG against the 3,000 MW required. And that is before allowing for the obvious: a 500 MW solar plant does not produce 500 MW at night. The LNG carries a logistics problem of its own: it arrives by ship, but Clark has an airport, not a seaport, so the fuel must land at a coastal terminal and travel inland by a pipeline that does not exist. That is what the unsolicited Subic–Clark fuel-line proposal is for. Set against BCDA's Q1 2028 site-development target, none of these timelines fit. What changes here is not the direction of the finding but its standing: the department that would have to approve grid connection has said publicly that it will not approve it at scale.

Benchmark: BCDA's own signed ACWA Power lease, 500 hectares for up to 500 MW of solar plus storage, i.e. 1 ha per MW of nameplate. Solar at 20% capacity factor. The Department of Energy projects Luzon's 2026 peak demand at 15,600 MW. The highest peak actually recorded by mid-2026 was 14,534 MW. So a 3 GW load is 19.2% of the projection, and 20.6% of the real maximum. On 15 May 2026 the grid ran a 373 MW deficit under red alert with 4,106 MW on forced outage across 30 plants. The US DFC has funded a feasibility study for a $\geq 1,200$ MW LNG terminal and plant at the site.

EXHIBIT 03 • EMPLOYMENT

five figures in fifteen days, no new study

Finance Sec. Go (the anchor)

11 Jul 2026

"thousands"

DTI-BOI talent pipeline by 2028

national target



128,000

BCDA

22 Jul 2026



130,000

BCDA (upper bound)

23 Jul 2026



190,000

Amb. Romualdez

26 Jul 2026



300,000

Labor Sec. Tolentino

22 Jul 2026



"nearly one million"

Subic Freeport (4,744 locators)

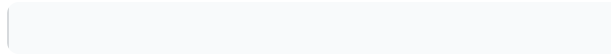
2025 actual



171,653

Intel Philippines at peak

1996-2009

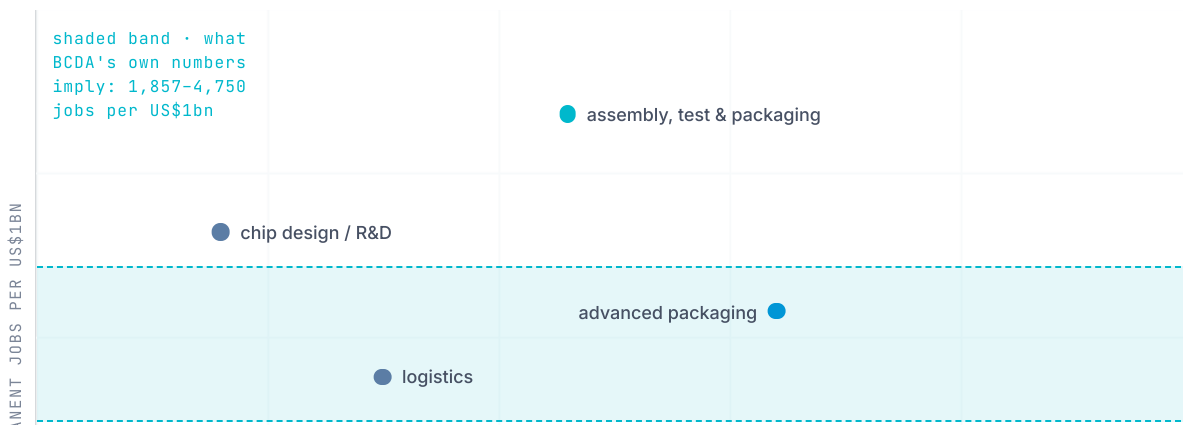


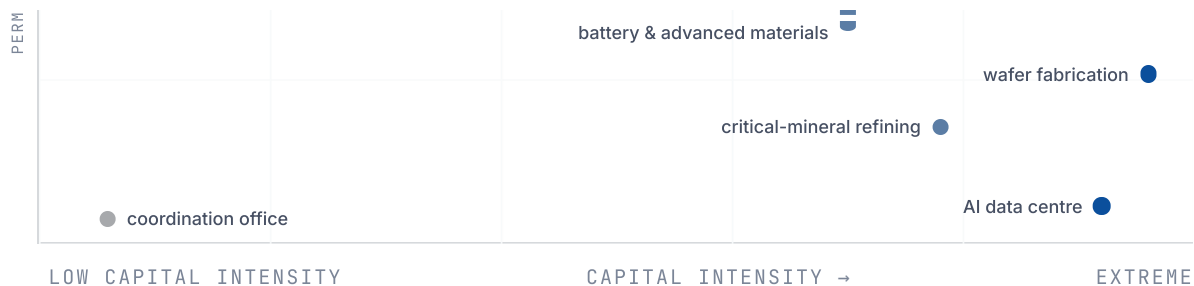
~3,000

The only bottom-up figure on the record is the Finance Secretary's own "thousands of jobs" from the named anchor. Against it, DTI-BOI's national target is to *produce* 128,000 engineers and technicians for the whole Philippine semiconductor and electronics industry by 2028, a talent-pipeline target rather than an employment ceiling. BCDA's low-end figure for this single site would consume all of it.

EXHIBIT 04 • THE CENTRAL CONTRADICTION

capital-intensive, or job-intensive. unreconciled on any published information.





Pairing US\$40–70bn with 130,000–190,000 direct jobs implies 134–196 jobs per developable hectare, a labour-intensive light-manufacturing density. That is assembly, test and packaging, not hyperscale compute and not wafer fabrication. The named anchor's described activity, "computer parts and electronic components manufacturing," sits exactly there.

EXHIBIT 05 • THE PARCEL

1,618.74 ha inside new clark city



Parcel	1,618.74 ha
Share of New Clark City	17.1%
Municipalities	Capas & Bamban, Tarlac
Rent, years 1–2	PHP 0

EXHIBIT 06 • IMPLEMENTATION

fourteen of sixteen gates are open

☒	Political declaration signed	16 Apr 2026
☒	Land offered	offer 9 Apr 2026; US conditional acceptance in principle 16 Apr 2026, unexecuted
☐	Framework agreement	draft exchanged; target Nov 2026
☐	Supplemental Agreement (boundaries and terms)	does not exist
☐	Parcel legally defined; Annex A published	referenced, absent; FOI request refused 10 Jun 2026
☐	Master plan for the parcel published	none
		DENR: "will be required"; on 26 Aug 2026 DENR reported no Pax Silica EIA application or

Rent from year 3 "To be discussed"

Lease term Not stated

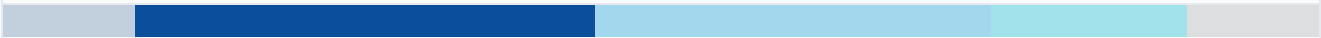
Annex A map Referenced, absent

Schematic only. The parcel's metes and bounds have never been published, Annex A of the BCDA letter is referenced in the document and absent from it. Every substantive question about this project is downstream of a map that does not exist publicly.

- ☐ Project-specific EIS / ECC project description had reached the EMB. A zone-level 2019 land-development ECC exists (ECC-OL-R03-2019-0304) but names none of the announced activities
- ☐ Cumulative impact assessment none
- ☐ Water balance study published none
- ☐ Water permit / abstraction volume set NWRB opined without publishing
- ☐ Grid interconnection study or agreement none
- ☐ Lease rate from Year 3 set "To be discussed"
- ☐ Lease term set no term stated
- ☐ Binding investor commitment Foxconn a prospect; ~30 letters
- ☐ Financing committed DFC funded a feasibility study only
- ☐ Procurement / construction target Q1 2028

EXHIBIT 07 • SCENARIOS

five futures, ranked by likelihood



35%

PLAUSIBLY 25–45%

proceeds, but narrower, slower and less capital-intensive

The most likely single outcome. A framework is signed, but what gets built is a conventional advanced-electronics and logistics park with an assembly-test-and-packaging core, a modest data-centre component, and a coordination office. Perhaps US\$5–15bn over a decade; 15,000–40,000 direct jobs.

Economically this is genuinely positive, a good outcome for the Philippines. Politically it is damaging, because the gap will be measured against 190,000 jobs and US\$70bn. This is a good outcome that will be reported as a failure, which is the strongest argument for setting honest expectations now.

TRIGGERS

- Investors decline the power and water risk
- The AI capex cycle cools
- The Philippines fails to resolve electricity costs
- Foxconn proceeds at ordinary scale, its own described activity points here

EARLY WARNING

- Binding locator agreements tracking US\$5–15bn and 15,000–40,000 direct jobs, concentrated in ATP, electronics and logistics
- A published activity plan assigning most land and capital to those uses, with a quantified modest data-centre share
- Headline ranges formally replaced with lower phased targets tied to named locators

is signing warranted yet?

☐

Parcel legally defined and Annex A published

Maps, metes and bounds, cadastral references, land classification and current land use. Cost: zero. Time: days.

☐

Draft framework published with a public comment period

Full disclosure of transactions involving public interest is a constitutional state policy, not a courtesy.

☐

Independent water balance and grid adequacy studies published

Procured competitively, published in full, including dry-season yield and storage design.

☐

Year-3 rent and lease term determined

Against an independent valuation of serviced industrial land with airport and port access. Do not sign an instrument whose consideration is "to be discussed."

☐

DFA-OLA and OSG legal opinions published

On treaty status, BCDA's authority to bind the Republic, and whether the exclusive-use clause permits private locators.

☐

NCIP certification precondition process formally initiated

Regardless of BCDA's view that no CADT exists. The single cheapest de-risking action available.

0 OF 7 MET

do not sign

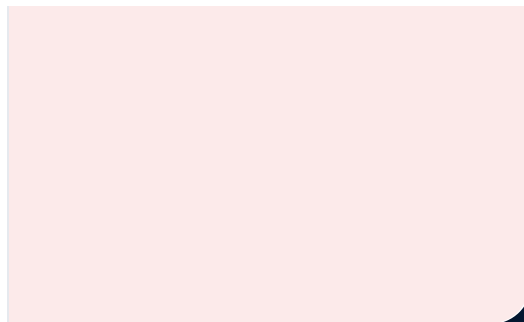
If any one of the seven is unmet, the Philippines should not sign anything binding. A strictly non-binding framework remains available, but only if its text expressly creates no lease, no land right, no entitlement and no funding commitment. None of the seven takes more than a few months, and all are within the executive's control. The only cost of insisting on them is a delayed photograph.

status at 29 july 2026, latest verification: 0 of 7



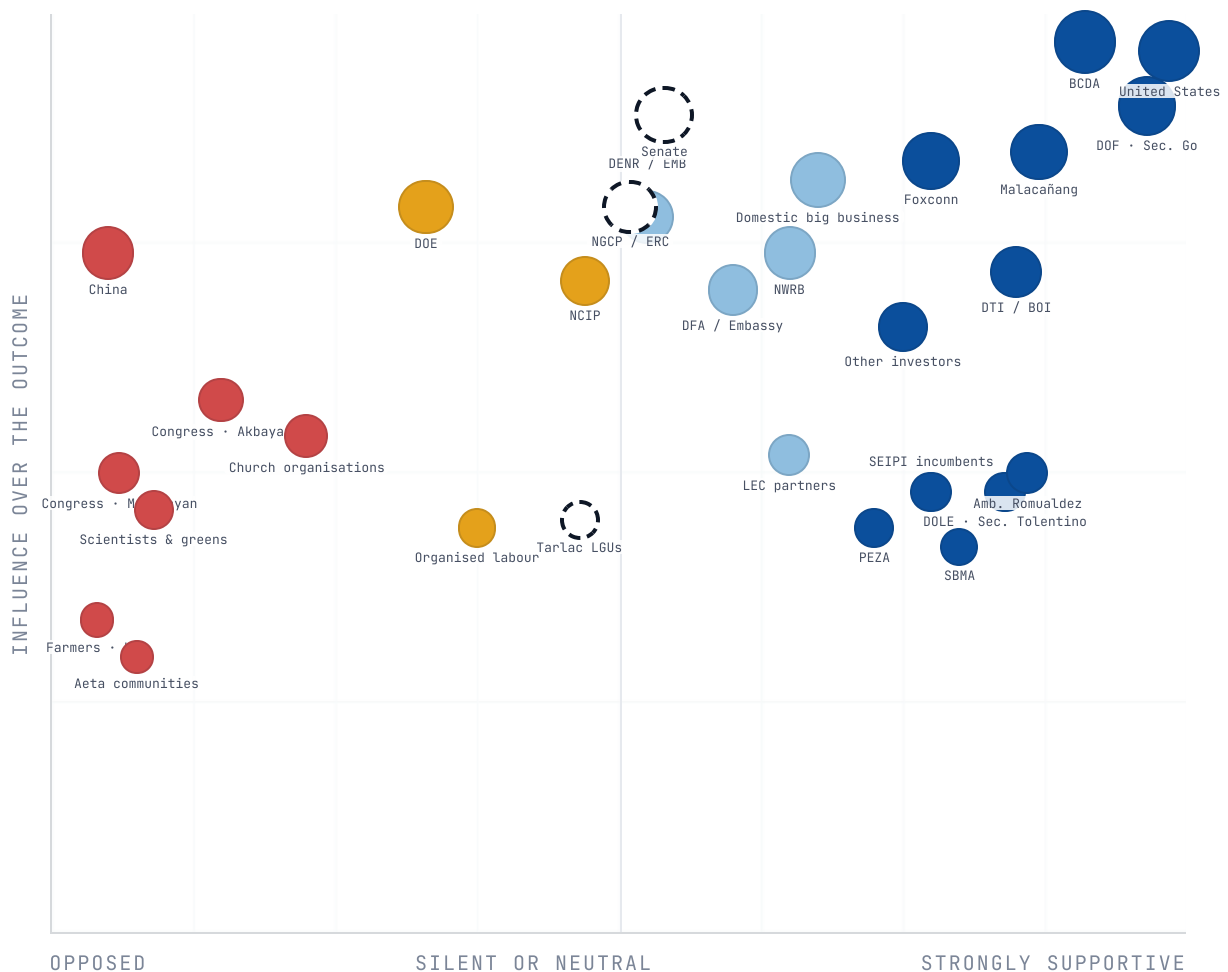
Activity mix and all underlying economic studies published

Including the tax-expenditure estimate. If the studies do not exist, say so and withdraw the figures.



who is loud, who is silent

Thirty actors placed by influence against the position they have taken publicly. Circle size is influence. The dashed circles are the finding: three actors central to whether this project can proceed have taken no institutional position on the record. Two have moved without taking one — the Senate, where four separately reported inquiry pushes have been filed though the chamber itself has not acted, and the Tarlac LGUs, where Capas entered the record on 31 July seeking information. A fourth, the NCIP, left this group on 8 August with a reported community dialogue.



○ silent on the record ● supportive ● broadly positive ● sceptical ● opposed

Click any circle for its position, what it stands to gain, and what it bears.

Three dashed circles sit on the centre line, and they should not be there. NGCP and the ERC own the 3 GW question; the Senate holds concurrence; and the Tarlac provincial government with the municipalities of Capas and Bamban is the host community that would live with the result. NCIP no longer belongs in that silent group: a community dialogue reported on 8 August put the commission in the public record, and it announced a census and validation activity on 20 August, though no certification-precondition process is indicated. Each silent actor is the party that would be blamed if the risk it owns materialises, so silence buys it nothing. The largest single gap in the evidence base for this report remains the near-total absence of the local government units from the record.

EXHIBIT 10 • LEASE STRUCTURE

three layers, one of them published

The lease has three distinct layers and they have been persistently conflated. Only the first is documented. Which structure the second layer takes is, on this report's assessment, the single most consequential undisclosed structural fact in the entire file.

LAYER 1 government to government	Republic of the Philippines, via BCDA, to the United States BCDA letter and the Supplemental Agreement	PUBLISHED
LAYER 2 investor lease	BCDA, or a master lessee, to foreign investors RA 7652 as amended by RA 12252, if applicable; otherwise the relevant BCDA authority and final lease terms remain to be established	NOT EXECUTED
LAYER 3 locator operations	PEZA or BCDA to registered business enterprises RA 7916 ecozone registration plus CREATE MORE incentives	NOT EXECUTED

LAYER 2, THE QUESTION NOBODY HAS BEEN ASKED

the united states as master lessee

BCDA leases the whole 1,618.74 hectares to the United States, which then sublets to Foxconn and other locators. A single foreign-government-held property interest over a contiguous block of Philippine territory, financeable, transferable and sublettable for up to 99 years.

One counterparty holds the entire parcel

The lease may be collateralised for long-term financing

Locator selection sits with the lessee, not with a Philippine agency

Reversion is to the Republic, but only at the end of the term

The difference is not technical. If the United States ultimately received a 99-year master lease over the 1,618.74 hectares — no published contractual instrument establishes the final structure, term, counterparty or legal basis — the arrangement could, depending on the lease terms, applicable Philippine law and required BCDA and other governmental approvals, permit subleasing to locators or the use of leasehold rights as financing security. That would concentrate a materially different degree of long-term leasehold control in a foreign state than a structure in which BCDA grants separate leases directly to individual locators, which would be an agency-to-locator leasing structure of the kind used in economic-zone development; any such rights would remain subject to the lease's conditions and remaining term, and it would not transfer Philippine ownership or sovereignty. The published project-specific contractual documents address only layer 1 and do not settle which of the two is intended. In April, BCDA's president was reported describing the US as master lessee — developing the hub's infrastructure and utilities while BCDA retains ownership (Manila Bulletin, 24 April 2026) — an attributed official description, not a contractual commitment; later BCDA remarks referred more broadly to foreign-investor leases of up to 99 years. On 12 August, Sen. Imee Marcos separately questioned why a joint venture or foreign-controlled vehicle should hold rights over the land, citing an alleged draft whose provenance and provisions remain unverified. No official reconciliation of those accounts was identified in the public record reviewed.

EXHIBIT 11 • THE SYSTEM THIS BELONGS TO

the chokepoint map

Pax Silica is not a Philippine project with foreign investors. It is the demand-anchoring layer of a deliberate American reorganisation of technology supply chains, and its logic is complementarity, not symmetry: each member holds something the AI ecosystem cannot function without. The question for the Philippines is which of these it is bringing, and what it gets for it.

EUV lithography

Netherlands · ASML

a true monopoly; ~90% of DUV overall **100%**

CPU architecture

United Kingdom · Arm

of smartphones, though ~87% SoftBank-owned and Nasdaq-listed **>99%**

Primary low-purity gallium

China

USGS Mineral Commodity Summaries 2025 **98-99%**

Rare-earth magnets

China

IEA, 2024 output **~94%**

Rare-earth refining

China

of refined output, 2024 **~91%**

High-bandwidth memory

South Korea · SK Hynix, Samsung

was ~95% in 2024; Micron's ramp broke the duopoly **~80%**

Germanium

China

USGS declines to publish a precise share **~60%**

Assembly, test & packaging

Southeast Asia

the Philippine seat: electronics are 54% of national exports **54%**

Leading-edge fabrication

Taiwan · TSMC

at the frontier, which is why Taiwan endorses without signing, through a joint statement of 27 January 2026 signed by AIT and TECRO rather than by Taiwan as a state **dominant**

GPUs, EDA, frontier models, capital

United States

design costs run US\$42.8m at 28nm to ~US\$725m at 2nm **the kernel**

STAGE 1 • PROJECT VAULT 2 feb 2026

upstream: stabilising the floor

EXIM board approves a direct loan of up to US\$10bn, the largest in the agency's 92-year history, plus ~US\$2bn of private capital from GE Vernova, Boeing, GM, Western Digital and Clarios, to create the U.S. Strategic Critical Minerals Reserve across all 60 USGS critical minerals. CSIS calls it "a Costco for critical minerals."

STAGE 2 • FORGE

4 feb 2026

midstream: organising the allied market

The Forum on Resource Geostrategic Engagement supersedes the 2022 Minerals Security Partnership, with Korea as first chair. Its distinguishing feature is a preferential trade-and-investment bloc with coordinated price floors, enforced through adjustable tariffs. This is managed trade, stated openly.

STAGE 3 • PAX SILICA 12 dec 2025

downstream: anchoring demand

The declaration network assessed throughout this report, linking secured minerals to AI and semiconductor production inside a protected allied market, "capable of competing with, and ultimately displacing, the concentrated supply chains on which the world currently depends."

The Philippine connection runs through all three stages, and has been under-appreciated. The 4 February 2026 Ministerial that launched FORGE is the same event at which DENR Secretary Lotilla signed the US–Philippines Critical Minerals MOU. The first listed function of the proposed Coordination Office at New Clark City is "coordination of critical mineral supply chain security initiatives." The Philippines is not merely hosting Stage 3's first Zone, it is simultaneously being enrolled in Stage 1's supply base and Stage 2's price-managed trading bloc. Whether its minerals enter that system as raw ore or as processed value-added product is what the framework will silently determine, and nothing published so far secures the second outcome. Added 24 August 2026, updated 28 August: the Philippines has since acted domestically. Executive Order No. 122, executed 18 August 2026, sets a national critical-minerals policy framework: it promotes downstream processing through investment incentives and priority access for domestic processors at a fair, market-based price, and reorganises the Mining Industry Coordinating Council. We now hold the certified text, retrieved from the Official Gazette on 28 August and read page by page — superseding our earlier record that it was not located, and correcting the 21 August signing date we had carried. The order imposes no export prohibition, quota, levy or licensing requirement on ore, though it leaves supplemental guidelines to be written. It does not mention Pax Silica, the United States or New Clark

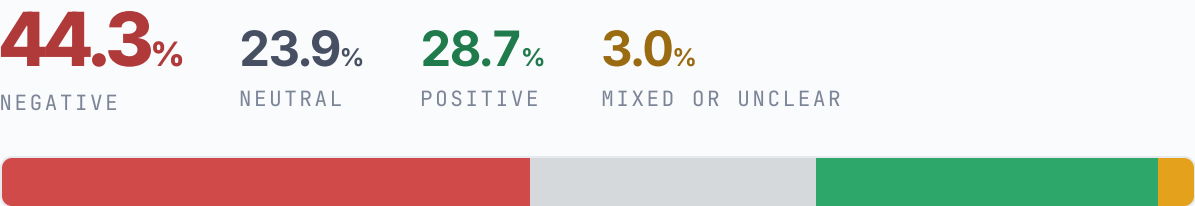
City. It does not change this footer’s conclusion. Membership is not the prize. Position within the membership is the prize.

EXHIBIT 12 • THE PUBLIC CONVERSATION

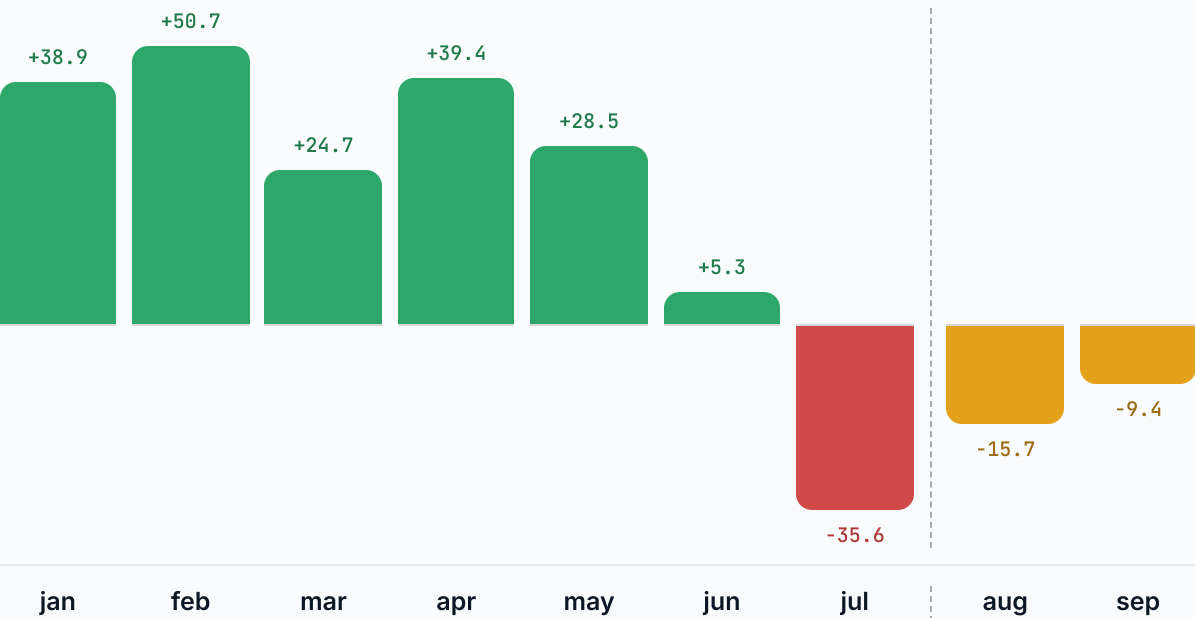
the conversation, 1 jan 2026 to 1 sep 2026

One running analysis, two collections behind it: a sampled social-listening export to late July, relabelled by the same software that labels the current near-complete collection, which counts from early August with reposts excluded. Volumes are not comparable across that seam; shares are. Section 17 mapped who the stakeholders are; this measures what they are actually saying, refreshed daily.

SENTIMENT TOWARD THE PROJECT • SINCE 7 AUG 2026 • 21,878 LABELLED MENTIONS



These labels are applied by software, not by people. 26 days is a starting point, not a trend. The percentages cover the posts the software judged to be about this project.



10%
SAMPLE

10%
SAMPLE

10%
SAMPLE

10%
SAMPLE

10%
SAMPLE

10%
SAMPLE

10%
SAMPLE
TO 27 JUL

CENSUS
FROM
7 AUG

CENSUS
TO 1 SEP

The counting basis changes at the dashed seam: to 27 jul 2026 a one-in-ten sample including reposts; from 7 aug 2026 a near-complete collection excluding them. The days between were not collected on either basis. Counts are not comparable across the seam; shares and net sentiment are.

WHERE IT HAPPENS, WHAT IT IS ABOUT, WHO IS SPEAKING

WHERE THE CONVERSATION HAPPENS

Facebook		75.0%
News		9.6%
YouTube		5.7%
Reddit		4.8%
X		2.8%
everything else		2.1%

WHAT IT IS ABOUT · SHARE AND NET SENTIMENT

Governance	32.1%	-33.2
Environment	26.5%	-60.3
Investment	21.9%	+52.2
Semiconductors	17.2%	+49.4
Sovereignty	12.3%	-36.5
AI infrastructure	12.1%	+3.7
Indigenous rights	11.9%	-69.4
Water	11.5%	-33.4
no category matched		24.1%

WHO IS SPEAKING

Private individuals		76.4%
Media		11.6%
Government		6.1%
Civil society		4.9%
Business		1.0%
Faith-based		0.1%

Government accounts for 6.1% of the conversation and business for 1.0%. The central open question is what the Philippine state has actually committed to. Yet almost all the public discussion is coming from private individuals, not from the institutions that would have to sign.

source · social listening, query ("pax silica" OR hashtags:paxsilica) NOT
engagementType:RETWEET, English and Tagalog, worldwide · window 1 jan 2026 - 1 sep 2026
· refreshed daily

method · every post was labelled by software and none of it was reviewed by a person · a post can fall under more than one topic, so topic figures add to more than 100% basis · Counted from a near-complete collection with reposts excluded; earlier figures on this page come from a smaller sample and are comparable in shares, not counts. A stated 10% sample of global public mentions, reposts included, 6 December 2025 to 27 July 2026, relabelled by the same software that labels the current data. Volumes are sample counts and are not comparable with the near-complete collection that starts 7 August 2026; shares are.

Software struggles with irony in Filipino and Taglish. In this data it labelled a plainly critical Taglish post as positive, so treat the levels as rough. The way this is measured changed on 7 August: the sample became near-complete and reposts are now excluded. Figures from before that date are not directly comparable with these, and the shares did move when the basis changed – Facebook rose and every other platform fell – so the earlier sampled figures understated how much of this conversation happens on Facebook. 24.1% of mentions match no topic category and are excluded from topic shares. No TikTok in this export; Facebook is limited to public content.

claim checker

Exhibit 13. The public claims located in the record, with each claimant, its status, and the evidence that contradicts it. Filter by status or by who said it.

VERIFIED

SCOPE

Project area is 4,000 acres (1,618.74 ha)

US State Dept · BCDA

Verified as a stated figure. $4,000 \text{ ac} \times 0.404686 = 1,618.74 \text{ ha}$.

PARTIAL

SCOPE

Area equals 1,600 / 1,618 / 1,619 / 1,620 ha

Various

All are roundings of one US-stated acreage, not an independent Philippine survey.

FALSE

SCOPE

The parcel boundaries are defined

no claimant, assessed finding

The BCDA letter says boundaries "shall be determined by mutual agreement... set forth in a Supplemental Agreement". Annex A maps are referenced and absent from the published PDF.

FALSE

SCOPE

The site is at the former Clark Air Base, Pampanga

Local and international outlets

New Clark City is in Capas and Bamban, Tarlac. A recurring media error.

UNKNOWN

SCOPE

"First AI-native industrial acceleration hub"

US State Dept · Helberg

An official designation with undefined content. Neither government has published a technical definition of "AI-native".

PARTIAL

SCOPE

No AI data centres will be located at New Clark City

DTI-BOI (Usec. Rodolfo) · BCDA

Verified as a repeated official statement, not as a land-use fact. Rodolfo told the House appropriations committee on 24 August 2026 "what's clear is, in Clark, there is no data center", and that data centres "may happen in another location". But BCDA's president said on 7 August that locators' own-use data centres may be established "if ever", with only major ones outside the site; and BCDA's own July 2025 bidder information lists a 47.0-hectare "Hyperscale Data Center" among New Clark City's industrial locators. No instrument located sets the line between a permissible own-use facility and an excluded major one. On 1 September 2026 Palace Press Officer Claire Castro, attributing the position to the DTI, said "On the Clark Advanced Manufacturing Park, there will be no data centers" and that no proposal yet exists for another location outside New Clark City: the most categorical official assurance yet, and still not an instrument.

VERIFIED

SCOPE

The site is 17.1% of New Clark City

Derived

1,618.74 ÷ 9,450 ha. Verified arithmetic.

PROJECTION

MONEY

US\$40–70bn of investment at full development

BCDA (Bingcang)

"Based on scientific studies, not speculation." The studies are unpublished and no investor is bound.

PROJECTION

MONEY

Initial investment requirement of US\$10bn

BCDA

Funding source unstated, public, private, or which party.

VERIFIED

MONEY

Around 30 firms have expressed interest

BCDA

Verified as a statement of interest, not of commitment. None is named; BCDA says "we cannot entertain them yet fully".

UNVERIFIED

MONEY

50+ firms including "trillion-dollar tech giants"

Reported

Inconsistent with BCDA's own figure of around 30.

PROJECTION

MONEY

Foxconn will anchor the hub

Finance Sec. Frederick Go

A named prospect, not a commitment. Go: "if Foxconn proceeds"; nothing is signed.

PROJECTION

JOBS

Foxconn would invest billions and generate "thousands of jobs"

Finance Sec. Go

Internally revealing: "thousands" is one and a half to two orders of magnitude below the 130,000–190,000 aggregate claim.

VERIFIED

SCOPE

The project is still at the planning stage and it is premature to release official information

BCDA

BCDA's own words, refusing a Freedom of Information request for the project pipeline on 12 May 2026 under the pre-decisional and premature-disclosure exceptions. A second denial on 10 June 2026 withheld the site map. Tier-1 confirmation, by the proponent, that the project is pre-decisional and that the Annex A vacuum is deliberate.

FALSE

MONEY

A binding investment commitment exists

no claimant, assessed finding

None found as at the latest verification. BCDA states the framework must be finalised first.

UNVERIFIED

MONEY

AWS is discussing a US\$5bn regional investment

Reported

Not corroborated; regional, not site-specific.

PROJECTION

JOBS

Over 130,000 high-quality jobs

BCDA

Official projection, 22 Jul 2026.

PROJECTION

JOBS

130,000–190,000 direct and 500,000–800,000 indirect jobs

BCDA (Bingchang)

The indirect figure implies multipliers of $3.8\times$ – $4.2\times$, at the high end of published ranges for enclave manufacturing. The multiplier and its source are undisclosed.

PROJECTION

JOBS

"Nearly one million jobs"

Labor Sec. Francis Tolentino

Basis given as a comparison to "Taiwan's industrial growth model". No labour standards, wage scales or training commitments stated.

PROJECTION

JOBS

Up to 300,000 jobs "as early as 2027"

Amb. Jose Manuel Romualdez

Timeframe irreconcilable with BCDA's own Q1 2028 construction start.

UNVERIFIED

JOBS

"Endless jobs"

US Amb. Lee Lipton

Stakeholder claim.

PROJECTION

FISCAL

PHP 180bn/yr in total government income at full operation

BCDA

Composition unpublished.

MISLEADING

FISCAL

PHP 68–75bn/yr in withholding tax

BCDA

BCDA specified the composition at the Palace briefing of 23 July 2026: tax contributed by the workers, i.e. payroll withholding. That forecloses the non-payroll explanation. It implies average worker compensation of about PHP 2.13m, 2.4× a Philippine semiconductor engineer (PHP 870,938) and 8.1× an operator (PHP 263,118). One of the two headline figures, the tax or the employment, is therefore materially overstated.

PROJECTION

FISCAL

PHP 60bn in lease income over 25 years

BCDA

Equals PHP 148.26/m²/yr. Present value at 8% real is about PHP 25.6bn, or 0.59%–1.03% of the projected investment. No independent land valuation has been published.

PROJECTION

FISCAL

US\$200bn of exports associated with full build-out

BCDA

CORRECTION, 10 Aug 2026 — earlier versions described this as annual. New reporting places full development on an approximately 30-year horizon but does not consistently establish whether the figure is annual, cumulative over that horizon, or measured on another basis. The 2.37× comparison with the Philippines' US\$84.48bn of 2025 merchandise exports is therefore a non-period-equivalent comparison of nominal magnitudes, not like-for-like annual flows.

"About 10% of GDP"

BCDA

The domestic value-added assumption reconciling this with US\$200bn of gross exports is unpublished, and it is the single most important number in any value-chain argument. Philippine electronics has historically captured a modest slice of gross flows because it imports most inputs and performs a narrow part of the process. JC Punongbayan of the UP School of Economics warns of exactly that outcome: the Philippines supplying "the land, minerals, power, water, and low-cost labor" while technology, patents, profits and strategic control remain abroad.

The cost of the fiscal incentive package

no claimant, assessed finding

No published estimate. CREATE MORE provides 5% SCIT or 20% CIT with enhanced deductions including a 100% additional deduction on power expenses, for up to 17–27 years. A material omission.

Water demand 65–90 MLD; design capacity 120 MLD, expandable to as much as 300 MLD

BCDA

Technically unsubstantiated. No water balance has been published. The 300 MLD expansion path, described at the 23 July Palace briefing, scales the required catchment to roughly 4,900–10,400 hectares, which is three to six times the entire parcel.

Water comes from rainwater harvesting, not community supply

BCDA

The required catchment is 90–193% of the site, so at 90 MLD this is watershed water rather than site water. Stated precisely: the on-parcel framing fails at the upper end of BCDA's own demand

estimate; what the appropriation does to downstream users is undetermined pending a catchment-level water balance, and the burden of proof sits with the proponent.

UNVERIFIED

WATER & POWER

Water within the project area is sufficient

NWRB Exec. Dir. Sevilla D. David Jr.

No technical data, model or independent verification published.

MISLEADING

WATER & POWER

The 60 million litres a day should not alarm the public: it equals one second of the combined discharge of all Zambales rivers, "only 60,000 cubic meters, which is one Panamax"

Rep. Jose "Pepito" Alvarez, vice chair, House appropriations committee

Said at the environment department's 2027 budget briefing on 26 August 2026 — the first defence of the water requirement from the legislature. The unit conversion is right: 60 million litres is 60,000 cubic metres. Nothing else about the comparison is. It sets a daily demand against an instantaneous flow; a combined discharge of 60,000 cubic metres every second is an order no Philippine river system approaches, and no hydrological data was offered to the hearing or published after it; and it invokes the wrong catchment, since New Clark City sits in Capas, Tarlac and drains the Sacobia-Bamban system, not the western-draining rivers of Zambales. "Panamax" is a class of ship, not a unit of volume. The 60 million litre figure is also below BCDA's own published range of 65 to 90 million. Kabataan Representative Renee Co replied at the same hearing that the concerns are not confined to water but extend to power and land. None of this changes the catchment arithmetic on this page.

PROJECTION

WATER & POWER

Energy demand of about 3 GW at full development

BCDA

Independent technical commentary cites 5+ GW. Against the DOE's official projection of 15,600 MW for 2026 Luzon peak demand, 3 GW is 19.2%; against the 14,534 MW actually recorded by mid-2026, it is 20.6%.

MISLEADING

WATER & POWER

Power will be renewable; the project aims to avoid fossil fuels

BCDA

The US DFC is funding a feasibility study for a $\geq 1,200$ MW LNG terminal and plant at the site. Solar equivalent to 3 GW would need about 15,000 ha, which is 9.3× the parcel.

MISLEADING

WATER & POWER

The project "will not cut into current power supplies in the area"

BCDA

True if and only if 3 GW of net-new firm capacity is commissioned before the load energises. BCDA's president reiterated the assurance on 9 August 2026, saying proponents were studying a dedicated power plant; a study does not establish that capacity. Presented as unconditional.

PARTIAL

WATER & POWER

40% of the site is reserved as open or green space

BCDA • NCC master plan

Applies to the NCC master plan generally; not shown to bind the Pax Silica parcel, and incompatible with maximal rainwater capture.

PARTIAL

ENVIRONMENT

All investments require an Environmental Compliance Certificate

BCDA • DENR

Overstated as put. ECCs attach to Category A and B projects, not to all investments (DAO 2003-30 §§4.1, 4.4, 4.6; a Certificate of Non-Coverage covers Category D). Correction (v2.38): this note previously said the estate "unambiguously requires an ECC with a full EIS" and that "None is on the public record". Both are withdrawn. BCDA has published ECC-OL-R03-2019-0304 (24 Jun 2019), in which EMB classified the 9,450-hectare New Clark City Land Development Project under EMB MC 2014-005 item 3.6.5 — "Industrial Parks (horizontal development) with critical slopes", requiring an EIS at 5 hectares and above — and issued an ECC after an EIS was submitted. What survives: the certificate enumerates no manufacturing, semiconductor, data-centre or mineral-processing component; its Restriction 25 subjects any expansion or modification of approved components to new EIA requirements and requires individual locator ECCs; DENR reported on 26 Aug 2026 that no

Pax Silica-specific EIA application and no clear project description had reached the EMB; and no cumulative impact assessment exists.

VERIFIED

ENVIRONMENT

There will be no mining inside the project area

BCDA

Verified as to extraction on site; incomplete as to consequences. The US fact sheet cites "enhanced access to the Philippines'... mineral endowments" and refining is a listed on-site activity.

MISLEADING

ENVIRONMENT

Pax Silica will drive rare-earth and nickel plunder

Kalikasan PNE • AGHAM • CPU • KMP

Substantially overstated as applied to semiconductors. Silicon is ~95% of semiconductor material demand and the Philippines is not a silicon producer; per-mineral end uses: nickel is ~65–70% stainless steel with batteries ~10–15% and rising; cobalt was 76% lithium-ion batteries in 2024, of which EVs ~43% and portable electronics ~30%, with stainless nil; chromite is ~90–96% metallurgical and ferrochrome, over 80% of that to stainless. Semiconductor demand for these minerals is negligible, confirmed against USGS, INSG, Cobalt Institute and ICDA breakdowns. A narrower minerals concern survives.

MISLEADING

ENVIRONMENT

Data centres will cause light pollution disrupting wildlife

Advocacy groups

Substantially overstated, but a legitimate and mitigable EIA screening item. Data centre interiors are essentially unlit; exterior lighting is not. 24/7 perimeter security, parking, roads and the construction phase are a documented ecological disruptor per US DOE Solid-State Lighting guidance and DarkSky International's statement specifically on data-centre light pollution, and readily mitigated with full-cutoff fixtures, lamps at 3000K or below, and curfew dimming. Campaigners would be better served narrowing this point than dropping it.

UNVERIFIED

LEGAL & SOCIAL

Clark Freeport exceeds 30,000 ha, of which 15,000+ ha are already allocated to indigenous groups

BCDA

Offered by BCDA in support of its no-displacement position. Not independently verified in this review, and it concerns the wider Clark Freeport rather than the Pax Silica parcel.

DISPUTED

LEGAL & SOCIAL

No indigenous community will be displaced

BCDA • Malacañang

Turns on titled versus claimed domain. Aeta CADT applications over Capas were filed in 1999, 2014 and May 2019. Under IPRA, native title and FPIC obligations do not depend on a CADT having issued. Section 59 goes further: it bars any government agency or government-owned corporation from issuing a lease or concession without NCIP certification that the area is not overlapped, and its proviso covers pending applications, so a new BCDA lease would be barred outright if the parcel overlaps the Aeta claims filed in 1999, 2014 and 2019. At the Senate hearing of 14 August 2026, materially different population figures were put on the record: BCDA's expressed in households, NCIP's at 75 households, and about 1,000 people reported by a community witness as Sitio Sapang Kawayan's own census. The hearing's auto-generated transcript adds the provenance: NCIP told the committee it has no exact validated count and that the 75 came through an IP community source covering one sitio within the proposed area, while BCDA described about 14 houses seen on an earlier visit and speculated it might now be 30. A separate affected population also emerged — two preliminary farmer lists for a first phase of about 580 hectares, 182 associated with BCDA and 266 in the municipality's own records, with financial assistance offered at ₱30 per square metre and no designated relocation site for that group. The first phase's own extent is stated inconsistently: at a New Clark City briefing on 7 August 2026 BCDA president Joshua Bingcang described it as "around 500 hectares". Both figures are approximate and the record does not establish whether they share a boundary, a scope or a reference date, and no published phase-boundary document was located — so the variation is recorded, not resolved, since the farmer counts are keyed to a phase extent. They are not directly comparable — two count households, one counts people, and the reporting does not establish that they cover the same area or the 1,618.74-hectare parcel — so none is a verified count. What the exchange does show is that no current, published, parcel-specific enumeration exists, which is also what a categorical assurance of no displacement would need. On-site reporting published 18 August 2026 adds the residents' own account: Ralph Gelmar Lozano said he and other residents were told their houses would be affected and that they could be required to leave by December, and Antero Capiz separately recalled being told they had only until Christmas; residents said they had not been told where they would be relocated or what assistance would be provided, and that payment would cover their houses but apparently not the land. This is reported testimony, not an agency record — no BCDA notice, valuation schedule, relocation plan or demolition order corresponding to a December date has been published, and the reporting does not identify by name or institutional affiliation who communicated those dates. Correction (v2.32): this

report previously read the clearest discrepancy as lying between BCDA's lower household estimate and NCIP's 75-household figure. That characterisation is withdrawn. The same 18 August ABS-CBN report attributes the approximately 1,000-person figure to chieftain Petronila Capiz-Munoz by name, and reports NCIP Chairperson Nancy Catamco saying the chieftain had initially reported 75 households or families — so the 75 may not be independent of the community evidence behind the 1,000. The attribution v2.26 withdrew is reintroduced solely as an ABS-CBN-reported claim, not from the hearing transcript; that earlier withdrawal remains accurately recorded as a correction made on the evidence then available. The report does not conclude the two community-associated figures are comparable: no common reference date, geographic scope, population definition or counting unit is established, and "households or families" is itself ambiguous. The NCIP announced on 20 August 2026 that it had conducted or begun a census and validation of Aeta Hungey households at Sitio Sapang Kawayan, reported by the Daily Tribune on 21 August and carried by Rappler, Brigada Balita, NET25 and News5, several expressly crediting that announcement; no household, family or person total from it has been identified, and nothing published identifies it as a Section 59 field-based investigation, a Certification Precondition process or an FPIC proceeding, nor places it outside them. As at 23 August 2026 no current, published, parcel-specific enumeration reporting households and persons on a common reference date has been identified, and until one is, none of the reported figures can be treated as independently verified. This report elsewhere carries the GMA spelling Petroniza Capriz-Muñoz; both source-specific spellings are preserved and neither is resolved.

DISPUTED

LEGAL & SOCIAL

Only about 10 farmers are affected

BCDA

Campaigners cite ~20,000 Aeta and farmers; historical NCC-wide figures cite 65,000 people in 12 villages including ~18,000 Aeta. Unresolvable without Annex A.

VERIFIED

LEGAL & SOCIAL

A two-year rent-free grace period is offered

BCDA letter

"Years 1–2 (Grace Period), In-kind Contribution of the Philippines." Worth roughly PHP 4.8bn at the rent implied by BCDA's own figures.

UNKNOWN

LEGAL & SOCIAL

The Year-3 lease rate

BCDA letter

Verified that it is undetermined. The published table reads "To be discussed."

UNKNOWN

LEGAL & SOCIAL

The lease term

BCDA letter

No term is stated anywhere in the document. BCDA separately cites the 99-year ceiling under RA 12252.

PROJECTION

FISCAL

If a hub is built at New Clark City there is "no budget requirement from us" — "they will pay us rent", making it revenue-enhancing

DOF Secretary Frederick Go

The published instrument setting out the proposed land terms provides a two-year rent-free period and does not quantify the rent from Year 3 or state a lease term. The published record therefore does not establish the rent stream the characterisation depends on. "No budget requirement from us" appears to refer to cash budget requirements and does not account for the non-cash economic value of the two-year rent-free period, which the proposal identifies as the Philippines' in-kind contribution.

PARTIAL

LEGAL & SOCIAL

Investors may lease for up to 99 years under RA 12252

BCDA

Verified as to the law, unverified as to this project, and narrower than the citation implies. The 99-year regime under RA 7652 as amended covers private lands leased by registered foreign investors. New Clark City is state land, which raises a threshold question about whether the regime applies at all, and it confers no authority for a master lease to a foreign government.

DISPUTED

LEGAL & SOCIAL

The US sought diplomatic immunity and US jurisdiction

BCDA (Bingcang)

Helberg: "We never said our goal was to maintain diplomatic immunity... patently untrue." The State Department declined to answer the direct question on 26 May 2026.

DISPUTED

LEGAL & SOCIAL

The project is purely commercial, with no defence function

Helberg · BCDA

Not sustainable as stated. Amb. Romualdez links Pax Silica revenue to the country becoming "more militarily equipped"; the US fact sheet frames the network as displacing rival supply chains. No dual-use exclusion clause is published.

VERIFIED

SCOPE

Pax Silica has 25 signatories

US State Dept

CORRECTION, 1 Aug 2026 — this site previously published "24 signatories" as verified. That was accurate when checked on 26 June 2026; Italy signed the Declaration at Brindisi on 31 July 2026 as the 25th signatory, and the count is now 25. Still widely miscounted as 13, 14, 15, 23 or "about 30". One signatory, the EU, is not a country. Saudi Arabia has been wrongly listed.

FALSE

SCOPE

"More than 30 countries" have joined Pax Silica

BCDA · Palace briefing, 23 Jul 2026

Stated twice to national media. The State Department count on that date was 24 signatories, unchanged since the Second Summit four weeks earlier, and one of the 24 is the EU rather than a country. The 35-economy figure belongs to the separate Joint Statement on AI Opportunity. An overstatement of roughly 25%, uncorrected.

FALSE

SCOPE

Pax Silica is "23-member strong"

President Marcos · State of the Nation Address, 27 Jul 2026

Stated in the annual address to Congress. The State Department count that day was 24. The figure is not random: on that date the State Department's own Pax Silica page listed 23 signatories and omitted the United States from its own roster, so counting the page yielded 23. Two outlets repeated it within the week. CORRECTION, 21 Aug 2026 — this note previously described the page in the present tense. Checked directly on 21 August 2026 the page lists 24 signatories, Italy now among them, and still omits the United States, so counting it now yields 24 against a standing count of 25. The roster defect this note identifies survives the update. The same government produced an overstatement of roughly 25% and an understatement of one within four days, neither corrected publicly.

PROJECTION

LEGAL & SOCIAL

BCDA targets signing of the framework agreement by November 2026, potentially during the ASEAN Summit

BCDA

Finance Sec. Go, 7 July 2026: "I hope we can get something signed within the year" — Manila Bulletin reports the remark as referring to the framework agreement for the hub, with Foxconn described separately as a possible anchor locator; no transcript was located, so the scope rests on the outlet's framing. On 19 August 2026 BusinessWorld and GMA News reported BCDA president Joshua M. Bingcang saying BCDA was still aiming for November but that negotiations could take longer, rendering his description of the target as "not set in stone" (BusinessWorld) and "not cast in stone" (GMA News). Those are the same remarks by the same official on the same day and are not independent corroboration; the two outlets name the forum differently and this report asserts no venue, and no transcript or recording was located to resolve the wording. Correction (v2.32): this note previously read "Other statements point to 2027 finalisation". That was mis-scoped — the Presidential Communications Office release of 23 July 2026 places planning in 2027, with contract negotiations expected during 2026 and construction expected to begin in early 2028, not framework finalisation. The sequence is retained in the timeline and withdrawn from here. The verdict is an official target that the proponent has publicly described as subject to negotiation and possible delay.

VERIFIED

LEGAL & SOCIAL

The USTR imposed a 12.5% forced-labour tariff on Philippine exports

Office of the US Trade Representative

Published 23 July and effective 24 July 2026, finding the Philippines "has failed to impose and effectively enforce a forced-labor import prohibition." Verified against the Federal Register notice, the measure carries exemptions, semiconductors and other Section 232-covered articles, donations, informational materials, and an excluded-products annex expanded by 471 HTS

subheadings, and it replaced a Section 122 surcharge of 10%, documented to Federal Register doc. 2026-03824, which expired at the same minute the new action began. For goods covered by both, the net increment is roughly +2.5 percentage points. For the exempt goods, which include semiconductors, coconuts, pineapples, bananas and nickel ores, the change was a decrease of about 10 points. The signal stands even as the magnitude shrinks.

54 OF 54 CLAIMS SHOWN

05

the full assessment

Twenty-nine sections. Each opens in place; the complete report downloads as a PDF.

[download the full report · pdf ↓](#)

ARCHIVAL FIRST EDITION · 26 JULY 2026 ↗

01

Prefatory note on timing and currency

Why the timing matters, and the conventions used throughout.

This report's first edition was completed one day before President Marcos' fifth State of the Nation Address of 27 July 2026, which Malacañang trailed as containing an "earth-shaking" announcement. As of v2.8 the SONA is incorporated from the Official Gazette transcript and no longer sits outside the evidence base; project facts move forward as developments are verified.

Four developments in the fortnight before cutoff are material enough to drive specific conclusions. The anchor tenant has been named: Foxconn, the same company whose Wisconsin project delivered a fraction of its announced investment, which converts the "announced versus delivered" comparison from an analogy into a direct precedent involving the same counterparty. Official job claims have escalated to five mutually inconsistent figures issued by four arms of government within a fortnight. The United States imposed a forced-labour tariff on Philippine exports on 24 July 2026. And a signed ACWA Power lease provides a hard land-per-megawatt benchmark that permits a rigorous test of the renewable-power claim, a test the claim fails by a wide margin.

All conversions use PHP 61.85 per US\$1, from US\$1 = PHP 61.847, the peso's record-low close of 24 July 2026. Where a source gives a peso figure it is reported as given and converted; where a source gives dollars, the peso equivalent is calculated.

This is a living document. Project facts are verified to 3 September 2026 and move forward as material developments are verified. Comparator, legal and technical sources were verified through 27 July 2026 and move only when those are re-verified.

SOURCES DRAWN ON [T3-21](#) · [T1-05](#)

02

Backgrounder: Pax Silica and the world that produced it

The transaction cannot be judged without the system it belongs to.

For roughly three decades the semiconductor supply chain was organised by cost alone: designed in the United States, printed on Dutch machines, fabricated in Taiwan and Korea, assembled and tested in the Philippines and Malaysia, from minerals refined wherever it was cheapest, increasingly China. Geopolitical disruption was a tail risk, not a design constraint. What ended that arrangement was a decade-long exchange of blows: China's 2010 rare-earth halt against Japan; the Huawei entity-listing; the October 2022 export controls; the CHIPS Act and the European Chips Act; gallium and germanium licensing in 2023 escalating to an outright ban in 2024; the H2O ban and China's seven-rare-earth restriction in 2025; and extraterritorial rare-earth controls in late 2025, suspended for a year under a trade truce. Both superpowers have now repeatedly demonstrated willingness to weaponise their chokepoints, and every economy in the chain is being asked to buy an insurance policy.

The alliance's logic is complementarity, not symmetry. ASML holds a true 100% monopoly on EUV lithography; Arm sits under more than 99% of smartphones; SK Hynix and Samsung hold roughly 80% of high-bandwidth memory; TSMC dominates the frontier. Against them China holds 98–99% of primary low-purity gallium, about 91% of refined rare earths and about 94% of magnets. Southeast

Asia holds assembly, test and packaging, which is the Philippine seat at the table, with electronics at more than 54% of national exports.

The least visible chokepoint is capital. Design costs run from about US\$42.8m at 28nm to US\$89.8m at 16nm, US\$249m at 7nm, US\$449m at 5nm, US\$581m at 3nm and roughly US\$725m at 2nm. Geology is not enough and neither is labour: a country holding minerals or assembly capacity but standing outside the allied capital and licensing umbrella is structurally marginalised. That is the coercive underside of the positive-sum language, and it is why membership grew from 7 to 25 signatories in eight months.

Compute has also turned electricity into a membership qualification. Qatar signed on 12 January 2026 and the UAE on 14 January; the physical anchor is the 5 GW UAE-US AI campus in Abu Dhabi, the largest AI infrastructure project outside the United States. This is the same energy-for-compute logic that makes the 3 GW question at New Clark City the decisive Philippine feasibility issue. In this system, electricity is the entry ticket.

The architecture was built in a single week of February 2026. Project Vault, announced 2 February, is EXIM's largest financing in 92 years, up to US\$10bn plus about US\$2bn of private capital, creating a U.S. Strategic Critical Minerals Reserve across all 60 USGS critical minerals. FORGE, announced 4 February, supersedes the Minerals Security Partnership with a preferential bloc built on coordinated price floors enforced through adjustable tariffs. Pax Silica is the third stage: the demand anchor. The 4 February Ministerial that launched FORGE is the same event at which the Philippines signed its Critical Minerals MOU.

This sharpens rather than changes the assessment. Standing wholly outside carries documented exclusion risks that fall hardest on an economy whose exports are 54.3% electronics. But the system is explicitly tiered, explicitly US-arbitered and explicitly designed around revocable access. Membership is therefore not the prize; position within the membership is the prize, and position is determined by exactly the instruments this report finds undetermined: the lease terms, the processing obligations, the technology-transfer covenants, the governing law.

Executive summary

Nothing is legally binding, financed, contracted or permitted at the project level.

The Philippines has joined a United States-led political initiative and has publicly offered approximately 1,618.74 hectares of state land in New Clark City, Capas, Tarlac, to host its first Economic Security Zone. As at the latest verification, nothing about the project is legally binding, financed, contracted, or permitted at the project level.

What exists is a non-binding declaration signed on 16 April 2026 by a Department of Trade and Industry undersecretary; a four-page proposal letter from the Bases Conversion and Development Authority dated 9 April 2026; a named but uncommitted anchor tenant; roughly thirty unnamed letters of interest; and a framework agreement both governments hope to sign in November 2026 during an ASEAN Summit that President Trump is expected to attend.

The only published Philippine legal instrument does not describe the project the government is marketing. The headline economic figures are unreconciled, and two are arithmetically implausible as presented. The two binding physical constraints, water and power, have not been shown to be soluble on the published parameters. The counterparty relationship is markedly less favourable than the framing suggests. And, in fairness, the strategic case is genuine and some of the criticism is wrong.

The recommendation is neither endorsement nor rejection. It is that the Philippines should decline to sign in November 2026 unless a defined set of disclosures and binding conditions are satisfied first. The country's negotiating position will never again be as strong as it is between now and November.

Key judgments

Sixteen judgments on a five-point confidence scale. Structured analytical judgments, not calibrated probabilities.

The Pax Silica Declaration is a non-binding political declaration, not a treaty and not a legally enforceable executive agreement. It imposes no obligation and confers no entitlement. Every benefit invoked in Manila (investment, technology transfer, upskilling, market access) is unsecured by the instrument actually signed. Confidence: high.

No investor has made a binding, disclosed commitment. The published BCDA proposal describes a bilateral government coordination facility with an exclusive-use clause covering the entire 4,000 acres, not a multi-tenant industrial park. The US\$40–70bn investment figure and the 130,000–190,000 jobs figure are unreconciled and jointly implausible. A mixed-use configuration delivering both is arithmetically constructible, but it would require more back-end employment inside this one site than the entire national industry supports today. The impossibility claim is withdrawn; the disclosure demand stands. Official employment claims are inflating without new evidence.

On-site rainwater harvesting alone has not been demonstrated as sufficient at the stated 90 MLD demand. A 3 GW load cannot be served by on-site or near-site solar on any realistic land budget, though whether an off-site renewables-plus-firming configuration could work is unmodelled by anyone, and marked as such. The immunity and jurisdiction question is unresolved, not closed. BCDA's claim that no indigenous community is affected rests on the absence of a titled ancestral domain, not the absence of a claim.

The "resource plunder" critique is substantially overstated as applied to semiconductor demand, though a narrower minerals concern remains legitimate. The claim that the project is purely commercial with no defence dimension is not sustainable as stated, though an on-site defence function is expressly not established: what is established is a strategic-security linkage and a gap between framing and statements by Philippine officials. The distributional profile below is a structured risk hypothesis pending the undisclosed instruments, not a finding. And the project is pre-decisional rather than underway: fourteen of

sixteen implementation gates are open, a status BCDA itself confirmed in a formal FOI denial of 12 May 2026. How much leverage the Philippines loses on signature depends on what the November instrument actually creates, which is why the decision rule below turns on the rights a text confers rather than on its label.

SOURCES DRAWN ON [T1-05](#) • [T1-03](#) • [T3-03](#) • [T3-06](#)
plus arithmetic derived in the calculation reference

05

What is known, claimed, disputed and still unknown

The claim-verification matrix: fifty-two claims adjudicated.

Known and verified: the Declaration text and its 25 signatories; that the Philippines signed on 16 April 2026 through a DTI undersecretary; the complete text of the BCDA letter including the two-year grace period, the undefined Year-3 rate and term, the reversion clause, the exclusive-use clause and the statutory miscitation; the US fact sheet's "joint governance" language; the US-Philippines Critical Minerals MOU of 4 February 2026; the ACWA Power 500-hectare solar lease; and the USTR tariff of 24 July 2026.

Claimed but unverified: every economic figure in circulation, investment, jobs, taxes, exports, GDP share, originates with the Philippine government and rests on studies that have not been published.

Disputed: immunity and jurisdiction; the number of affected farmers and indigenous households; whether the project is renewably powered; whether it has a defence dimension; the scale of the minerals linkage.

Unknown: the framework text; the identity of all interested firms; the identity of the "US-based company" described by BCDA as project proponent; the Year-3 rent; the lease term; the metes and bounds; the water balance; the grid interconnection plan; the incentive package and its fiscal cost; the domestic value-added assumption; and whether Senate concurrence will be sought.

SOURCES DRAWN ON [T1-01](#) • [T1-02](#) • [T1-03](#) • [T1-05](#) • [T1-14](#) • [T1-15](#) • [T4-01](#)

Definitions and boundaries of the project

Public debate conflates at least eight distinct things.

Separating them is the single most important analytical step in this file. The Pax Silica initiative is a US State Department programme with no legal personality. The Declaration is a short non-binding political text with 25 signatories. Philippine accession was a political act with no domestic legal effect. The proposed Economic Security Zone is a proposal only. The Pax Silica Coordination Office is what the BCDA letter actually proposes. The Luzon Economic Corridor is a separate initiative, announced April 2024 as a US–Japan–Philippines corridor and expanded on 11 May 2026 to add Australia, Canada, Denmark, France, Italy, Korea, Sweden and the United Kingdom, with its own steering committee. The Critical Minerals Framework is a separate non-binding MOU. And New Clark City's pre-existing projects have their own permits and disputes predating all of it.

Two boundary errors recur. New Clark City is in Capas and Bamban, Tarlac, not at the former Clark Air Base in Pampanga, and not in Pampanga at all. And "Pax Silica" is used interchangeably for the global initiative and the Philippine site; they have different memberships, legal statuses and risk profiles.

The core analytical error is bundling. BCDA has described the site as integrating semiconductor packaging, electronics, AI computing, R&D and mineral processing, activities that differ by an order of magnitude or more on every parameter that matters: capital intensity, jobs per dollar, water, power, hazardous waste. A single impact estimate spanning all of them is not an estimate; it is a category error. The activity mix has not been published, so every figure in circulation is unfalsifiable. BCDA's own account has moved: on 23 July its president said the agency "may invite data centers, but it's not all about data centers", and that one or two of at least 30 interested firms are data-centre operators. On 6 August he said the project "is not data centers". On 19 August BusinessWorld reported him saying the hub is "purely commercial", will have no defence-related activities, and that no hyperscale data centres would be built for it; the Inquirer, publishing the following day, separately reported him linking that to New Clark City's current power infrastructure being unable to sustain

hyperscale facilities. Those two reports carry remarks from the same forum and are not independent corroboration. The published description in the state news agency has also changed: on 19 June PNA described the development as expected to host hyperscale data centres among other facilities, in the agency's own descriptive wording; on 7 August it reported the BCDA president saying any data centres would serve semiconductor firms and not hyperscalers, and that major data centres would sit outside the initiative. This report records the change in the published description and does not assert that the underlying official position changed, nor whether the later statement is a clarification or a change of plan. No hyperscale restriction was found in the published project materials reviewed, including BCDA's April proposal — a search result, not proof of absence, and no instrument yet restricts locator activity in this way.

On 24 August the account widened again, and this time from a second agency. At the House appropriations hearing on the DTI's 2027 budget, Trade Undersecretary and BOI Vice Chairman and Managing Head Ceferino S. Rodolfo said New Clark City "is just one of the projects, and it will be focused on advanced manufacturing" and that "the whole stack of AI, we will still discuss to determine other locations for those other areas" (Manila Bulletin); pressed by ACT Teachers Rep. Antonio Tinio, that "what's clear is, in Clark, there is no data center"; answering Akbayan Rep. Percival Cendaña, that data centres "may happen in another location" where water and electricity are more available; and that talks were held "just last week" with an unidentified Metro Manila local government about a national IC-design hub, with a Pax Silica partner that is not the United States (Inquirer). ABS-CBN renders the exclusion as "the AI data centers themselves will not be in New Clark City". Asked whether the electricity, water and environmental concerns are valid, he answered "yes, that is why we are taking inputs from everyone". No official transcript or recording of the hearing was retrieved, so each quotation is carried as its outlet's account.

On 1 September the Palace restated the exclusion and answered the question 24 August had left open. At a Malacañang press briefing, Palace Press Officer Claire Castro said, attributing the position to the DTI, that "On the Clark Advanced Manufacturing Park, there will be no data centers", and that any investment project "whether data center or not, or whether under the Pax Silica or not, will have to undergo strict compliance with government regulations, for example, and

most critically on environmental impact". Addressing possible locations elsewhere, she said "If there is talk of another location outside New Clark City, there is no proposal yet regarding this, according to DTI" (Philippine News Agency, whose rendering the English follows; the exchange was in Filipino). This materially strengthens the evidence for the government's present stated intention that the proposed parcel will contain no data centres. It does not establish that exclusion as a formally adopted or enforceable land-use rule. The exact name Clark Advanced Manufacturing Park was not located in any proclamation, published board resolution, master plan or bid document reviewed here, although official reporting uses it for the proposed roughly 1,600-hectare development, so Castro's statement does concern the proposed parcel — it simply is not an instrument establishing its legally adopted permitted uses or boundaries, and it sets no data-centre threshold, no own-use boundary, no decision-maker and no change-control rule. The 24 August and 1 September statements are compatible but address different questions: Rodolfo described a possible future location outside Clark, while Castro reported that no such proposal presently existed. Both remain in unresolved tension with the 23 July invitation statement and the 7 August own-use allowance, because no published rule defines the categories or shows whether the policy changed. Neither carrying outlet's headline is on this site's news rail: BusinessWorld's substituted "outside Clark" for Castro's narrower "outside New Clark City", and BusinessMirror's added "formal" to "no proposal yet" while its lede read that as no company having formally applied. The finding is unchanged: the formally adopted activity mix of the parcel remains undeclared.

Where the assurance stops is now visible in BCDA's own paperwork. Its July 2025 bidder information for the New Clark City ICT corridor — Annex F to Bid Bulletin No. 5 of the NCC ICT Passive Infrastructure Project — lists among the city's industrial locators a "Hyperscale Data Center", 47.0 hectares, "construction to start on Q4 2025". PNA reported the underlying transaction in June 2024: a lease contract agreement signed alongside Tarlac Governor Susan Yap for a 47-hectare New Clark City site, for a 300 MW hyperscale facility in three 100 MW phases at about US\$890 million each, US\$2.7 billion in total. This review found no authoritative 2026 confirmation of that project's construction, schedule, cancellation or current status, and nothing establishes whether the parcel lies inside or outside the proposed Pax Silica parcel; no inference is drawn either

way. What it does show is that the assurance is narrower than its headline in both directions. Officials have said small locator-operated facilities for a firm's own use may be established inside, while major ones would sit outside — and no instrument located in this review sets the threshold that separates the two, names who decides it, or says what happens if a locator's facility grows past it. The finding is unchanged: the formally adopted activity mix of the parcel remains undeclared.

The named anchor sharpens this considerably. Foxconn's described activity is "computer parts and electronic components manufacturing", conventional electronics assembly. Not wafer fabrication, not hyperscale compute. If the anchor sets the character of the zone, this is an electronics manufacturing park with an AI-branded name, which is a legitimate and useful thing to build but is not what the prospectus describes.

SOURCES DRAWN ON [T1-05](#) • [A-01](#) • [A-02](#)

07

Research methodology and limitations

A triangulated, mixed-method design, and the things it cannot see.

The design combines a systematic scoping search; a four-tier source hierarchy with explicit adjudication of conflicts; process tracing against a ten-step implementation ladder; a claim-evidence audit; parametric techno-economic appraisal with disclosed formulas; legal-textual analysis; environmental and social risk screening under Philippine law; stakeholder and distributional mapping; comparative case analysis; and scenario and sensitivity analysis.

This review is not PRISMA-compliant and is not described as such. No protocol was pre-registered, no dual independent screening was performed, and no formal risk-of-bias instrument was applied. Wikipedia was consulted only to cross-check dates; several of its details conflicted with State Department primary sources and were discarded.

Four adjudication rules are visible throughout. Primary text beats characterisation. Official statistical series beat industry association claims. A party's admission against interest carries extra weight, the Finance Secretary's

"thousands of jobs" is treated as more probative than aggregate promotional figures. Silence from a party with an interest in speaking is weak corroboration only, and never bears weight alone. And technical claims are tested against arithmetic, not against the credibility of the claimant.

Known limitations: only two Philippine primary documents are public; the letter's Annex A maps are referenced and absent; no fieldwork or interviews were conducted; site-specific rainfall, catchment, aquifer and seismic data are unpublished; the record is asymmetric, with BCDA extensively documented and affected communities represented mainly through advocacy intermediaries; local government units remain thinly represented — the Capas mayor has entered the independently verifiable record through an information request and a subsequently reported meeting, while no independently verified position from Bamban or the Tarlac provincial government was located; and this is a fast-moving file with four material developments in the fortnight before cutoff.

SOURCES DRAWN ON [T1-01](#) • [T2-01](#) • [T3-14](#)

Detailed timeline

Nine months from initial discussion to a published unilateral offer, and no further.

The enabling statutes come first: RA 7227 created BCDA in 1992; CREATE MORE was signed in November 2024; RA 12252 replaced the 50+25-year foreign investor lease with a single term of up to 99 years in September 2025. Aeta Hungey groups filed CADT applications over Capas in 1999, 2014 and May 2019. New Clark City construction began in 2018.

The initiative itself moved quickly. The inaugural Pax Silica Summit was held in Washington on 12 December 2025, with seven founding signatories, the US, Japan, Israel, Australia, Singapore, Korea and the UK, and the Netherlands, Taiwan, Canada, the EU and OECD attending as guests. The Netherlands associated as a non-signing partner five days later; Qatar and the UAE signed in mid-January, India on 20 February, Sweden in March, Finland in April and Norway in May. On 2 February 2026 the US launched Project Vault, and on 4 February Secretary Rubio launched FORGE at the inaugural Critical Minerals

Ministerial, the same event at which DENR Secretary Lotilla signed the US-Philippines Critical Minerals MOU. On 9 April 2026 BCDA President Joshua Bingcang signed the proposal letter offering roughly 4,000 acres rent-free for two years. On 16 April 2026 the Philippine Embassy transmitted it by Note Verbale, DTI Usec. Rodolfo signed the Declaration, and the State Department announced the Zone, "joint governance," and an intent to "fuse American expertise in institutions and legal regimes."

Then contestation. On 18 May 2026 Bingcang stated the Philippines had refused a US request to place the zone under American law; on 25 May Helberg called that "patently untrue"; on 26 May the State Department declined to say what governing law would apply. On 19 June the Makabayan bloc filed House Resolution 1128, and on 28 July Akbayan filed House Resolution 1227, read on 3 August and pending with the Committee on Economic Affairs since 11 August. At the Second Summit in late June, the Under Secretary's opening remarks of 25 June previewed the Zone in a dedicated section, and the outcomes document published the following day did not mention it.

The final fortnight compressed everything. Foxconn was named on 7 July. The DFC approved LNG feasibility funding on 16 July. Scientists and farmers marched to the US Embassy on 13 July. Job claims escalated across four agencies between 22 and 26 July. And on 24 July the USTR imposed a 12.5% tariff and the peso closed at a record low. The only legally binding instruments in the whole record are Philippine enabling statutes, a separate ACWA Power solar lease, and, on the US side, a tariff against Philippine exports.

What comes next is dated. The inaugural Luzon Economic Corridor Investment Forum is scheduled for Manila on 10 and 11 September 2026, co-hosted by the governments of the United States, the Philippines and Japan and sponsored by USTDA, convening a stated 600 investors, industry leaders and senior officials, with site visits to prospective projects at Subic Bay, Clark and Batangas. Neither USTDA page mentions Pax Silica, semiconductors or New Clark City, so this is a corridor event and not, on its face, a hub event. The framework signature remains targeted at the ASEAN Summit in November.

Global Pax Silica structure and objectives

A State Department programme, not an international organisation.

Pax Silica has no secretariat with legal personality, no founding treaty, no published shared budget, no dispute-resolution mechanism, no accession criteria and no exit provisions. Coordination runs through the Office of the Under Secretary for Economic Affairs, held by Jacob Helberg, previously Senior Advisor to the CEO of Palantir, Google's global lead for foreign-interference product policy, and a Commissioner on the US-China Economic and Security Review Commission. This is not a neutral trade-facilitation background, and Pax Silica is best understood as an instrument of technology-bloc formation, which is exactly how its own fact sheets describe it.

The Declaration's operative language is uniformly hortatory: affirm, recognize, believe, encourage, seek, support, understand, and at its strongest, intend. "Intend" is the standard marker of a deliberately non-binding instrument. There is no "shall," no obligation, no entry-into-force provision, no termination clause and no dispute settlement. The legal reading cuts both ways: the Philippines has not surrendered sovereignty by signing, but equally none of the benefits invoked in Manila is secured by it. A second government has now put the same reading on the record: on 2 September 2026 the Lithuanian government approved joining the Declaration, and its foreign ministry said in doing so that the instrument is not an international treaty and would create no legal obligations for Lithuania under international or national law. That is an interested characterisation, since it is also what lets an executive join without ratification, and it is carried here as corroboration of the reading above rather than as its foundation.

There were 24 signatories as of 26 June 2026, the 23 listed on the State Department's own Pax Silica page plus the United States, which the page omits from its own list. Italy signed at Brindisi on 31 July 2026 as the 25th signatory, bringing the standing count to 25. Taiwan endorses the principles without signing, through a separate joint statement. A different and larger group of 35 economies signed the Joint Statement on AI Opportunity, several of them not

Pax Silica signatories. Lithuania, one of that group, approved joining the Declaration itself on 2 September 2026, but that is an approval to join and not an accession: no executed instrument, Lithuanian signature announcement or State Department welcome note had been located as at 3 September 2026, so the standing count stays at 25. The Board of Investments publishes the signed declaration recording that the Philippines and the United States signed that statement at Washington on 25 June 2026; its signature blocks are redacted, so the signatories cannot be identified from it. Media have variously reported 13, 14, 15, 23, 24, "close to three dozen" and "about 30," and at least one Philippine outlet has listed Saudi Arabia, which the State Department list does not support. One signatory, the European Union, is not a country. Officials should stop using "member countries" without qualification.

In seven months the initiative has delivered four things: the Declaration; the Joint Statement; a funding opportunity for an AI supply-chain provenance platform, described in earlier reporting as piloted in Panama; and the Stanford Foundry School.

CORRECTION, 16 Aug 2026. This section called that funding opportunity planned until today. It was not. This site's own news rail carried the State Department's notice on 13 August 2026, verified and published, three days before this section was updated — two surfaces of the same document disagreeing for three days. Two things the rail item said are also restated here: US\$50m is the register's award maximum, not an established programme total, and the posted synopsis does not mention Panama.

The funding notice, now posted. It is the Pax Silica Artificial Intelligence Assistance Project, number DFOP0019193, from the State Department's Bureau of Economic and Business Affairs under Assistance Listing 19.322, Economic Statecraft. State listed it on 12 August 2026; the federal grants register shows version 2 posted 14 August, with applications closing 20 August. An earlier version exists whose posting date this report could not retrieve, so nothing should be inferred about the length of the application window. The instrument is a cooperative agreement, with three expected awards between US\$1m and US\$50m and a blank total-award field, so the register establishes no programme total; no cost sharing, open only to for-profit organisations other than small

businesses. Its object is a trusted supply-chain credentialing and provenance platform and a "Silicon Highway", a digital-physical corridor with cryptographic cargo verification, and it describes itself as leveraging foreign assistance from the "Pax Fund", a name for which no published State Department authority, appropriation, size or governance document could be located. Only the public synopsis was read, not the full announcement, so no conclusion is drawn about which partner economies it names. One of the four deliverables is therefore no longer purely informational. But a solicitation is not a facility, no award has been located, and an award of US\$1–50m sits roughly three to five orders of magnitude below the US\$40–70bn BCDA says the New Clark City project could attract once fully developed.

CORRECTION, 2 Aug 2026. This site previously called the Zone's absence from the Second Summit outcomes document analytically significant, and offered two explanations, that it was not ready to be reported as a deliverable or that it is less central in Washington than in Manila. Both are withdrawn. A cross-model adversarial review established that the Under Secretary's opening remarks of 25 June contain a dedicated Economic Security Zone section stating that the United States will announce the first Zone in the Philippines, so the Summit was not silent about it, and that neither explanation is supported by the two documents. What the record establishes is narrower, a future-tense preview on 25 June followed by omission from the formal outcomes summary on 26 June, with the documents not explaining the difference.

SOURCES DRAWN ON [T1-01](#) · [T1-06](#) · [T1-18](#)

What the Philippines has signed, offered and obtained

One political declaration, one unilateral offer, and nothing enforceable in return.

The Philippines has signed one instrument: the Pax Silica Declaration, on 16 April 2026, by a DTI Undersecretary. Not the President, not the Secretary of Foreign Affairs, not ratified, not transmitted to the Senate. That signature level is entirely consistent with a non-binding instrument, but it also means the Philippine state has never formally deliberated on Pax Silica at Cabinet, NEDA Board or Senate level on any public record located in this review. If the November framework

carries materially greater legal weight, it cannot properly be executed by the same route.

The BCDA letter of 9 April 2026 is a unilateral offer. It proposes a Pax Silica Coordination Office on approximately 4,000 acres under a lease-free arrangement for two years as the Philippines' in-kind contribution. Section I lists five coordination functions, minerals supply-chain security, joint strategic industrial planning, allied investment mobilisation, workforce development and technology transfer, and such other activities as the two governments may determine. Section II.3 restricts the entire 4,000 acres to those purposes exclusively.

The United States replied, and the reply is now in the record. A letter published by the Philippine Board of Investments, dated 16 April 2026 and bearing Jacob S. Helberg's typed name beneath a redacted signature, records a conditional acceptance in principle of the two-year rent-free lease — subject to confirmation of the site and boundaries, and to conclusion of an appropriate lease agreement. Funding, construction and operations are deferred to separate arrangements, subject to US law and the availability of funds, so the letter itself records no US funding commitment. Two cautions belong with it. Its US authorship and execution are not independently authenticated: the signature is redacted, and no State Department copy, release or archived contemporaneous copy was located. And later statements from both governments show the long-term framework and final contract still under negotiation, so this is an acceptance in principle rather than a concluded arrangement. The letter also describes the land as a Coordination Office, while Philippine announcements frame the same acreage as an industrial acceleration hub; no inference is drawn that the United States excluded the wider hub, only that the documents do not describe it consistently.

Seven problems appear on the face of the offer. The exclusive-use clause contradicts the public project. Annex A is missing. No lease term is stated. The Year-3 rate is "to be discussed." Section III rests the offer on RA 7916, the Special Economic Zone Act of 1995, and then miscites the BCDA charter as Republic Act No. 7277, the Magna Carta for Disabled Persons, rather than RA 7227; US acceptance is to be effected under 22 U.S.C. §2697 and the Foreign Affairs Manual. The letter reserves consultations on "the status of personnel"

and "internal security", and "status of personnel" is the standard formulation in status-of-forces and status-of-mission instruments, so it was the Philippine document itself that placed the subject on the table. And BCDA proposes to enter the Supplemental Agreement "on behalf of the Philippine Government," which is a government-owned corporation acting as the state's treaty-adjacent agent.

What the Philippines has obtained is nothing enforceable. There is no investment commitment, no technology-transfer obligation, no local-content requirement, no employment floor, no wage standard, no market access, no financing facility and no trade-treatment commitment, while the same counterparty raised tariffs on Philippine goods.

SOURCES DRAWN ON [T1-05](#) • [T1-03](#) • [T1-04](#) • [T3-01](#) • [T3-02](#)

11

New Clark City scope and implementation status

Seventeen per cent of a 9,450-hectare development, and no published map.

New Clark City is a 9,450-hectare BCDA development in Capas and Bamban, Tarlac, begun in 2018 as a disaster-resilient government and industrial centre. The Pax Silica parcel is approximately 1,618.74 hectares within it, or 17.1% of the whole.

Every substantive question about this project is downstream of a map that has not been released. Without metes and bounds, it is impossible to determine which households are affected, which watercourses are enclosed, what the catchment actually is, whether the parcel overlaps areas subject to Aeta CADT applications, or what the land is currently used for.

BCDA has confirmed this status in its own official records. On 12 May 2026, refusing a citizen's Freedom of Information request for the project pipeline, it stated that "the project is still on the planning stage and it is premature for BCDA to release any official information," invoking the pre-decisional and premature-disclosure exceptions. On 10 June 2026 it refused a request for the site map, on the ground that records involving ongoing state negotiations and strategic master plans are not final until they are. Those two denials are the proponent's

own formal confirmation of both findings in this section: the project is pre-decisional, and the Annex A vacuum is unexplained. The May response is visibly a template, generically signed, rather than a considered policy statement. fourteen of sixteen implementation gates are open. Public discussion, including by officials, has consistently treated the project as further advanced than the record supports. The single most common category error is treating a letter of interest, a site visit, a named prospect, or a feasibility study as an investment commitment.

SOURCES DRAWN ON [T1-07](#) · [T1-15](#) · [T3-03](#) · [T3-08](#)

12

Governance, ownership, financing and lease structure

Joint governance is asserted; its content is undefined.

The US fact sheet describes an intent to "fuse American expertise in institutions and legal regimes" with Philippine assets under "joint governance." Neither government has published what joint governance means concretely, what body, what powers, what decision rules, what dispute mechanism, and what happens when the two legal regimes conflict. "Shared upside" is likewise undefined: there is no published equity structure, revenue-share mechanism, royalty or profit participation.

The immunity dispute is unresolved, not closed. The Wall Street Journal reported the hub would operate under US common law with embassy-equivalent protections; BCDA says it refused that request, citing RA 7652 and RA 7227 and calling it "a regular business development contract"; Under Secretary Helberg says immunity was never sought; the State Department declined to answer the direct question. The accounts reconcile if the ask was framed as "operational certainty" and the Philippine side correctly read its substance. What is not in dispute: the governing-law question is open, and the published Philippine letter expressly reserves consultations on the status of personnel and on internal security.

Land ownership is not transferred, and the reversion clause returns the property and permanently affixed improvements to the Republic on expiry. But a 99-year,

sublettable, collateralisable master lease over 1,618.74 hectares held by a foreign government is a materially different proposition from thirty direct locator leases with the Philippine state, and which of the two is intended has not been disclosed.

On financing, the disclosed money is technical assistance and facilities rather than project capital: USTDA US\$3.8m, raised from US\$2.5m; Sweden PHP 74m; a UK export-finance capacity of PHP 411bn, which is a facility and not a project commitment; and a DFC-funded feasibility study. The one committed equity figure in the file, ACWA Power at roughly US\$200m, belongs to a different project on different land. On the record searched — the State Department's Pax Silica pages and releases, and the federal grants register — no Pax Silica financing facility, common fund or investment vehicle has been announced. CORRECTION, 16 Aug 2026. This site previously stated flatly that no such facility "exists"; that overstated what the record can show, and the finding is now scoped to the sources searched. The August 2026 funding notice does name a "Pax Fund" as its source of foreign assistance, but a name in a synopsis does not by itself establish that a constituted fund exists.

SOURCES DRAWN ON [T1-05](#) • [T3-03](#) • [A-02](#) • [A-03](#)

Technical and infrastructure feasibility

Water and power are the binding constraints, and neither has been shown soluble.

At 90 MLD, harvesting from rainfall requires a catchment of roughly 1,460–3,129 hectares depending on rainfall and runoff assumptions, between 90% and 193% of the entire site, before allowing for the 40% reserved as open space. Even under the most favourable assumptions this means capturing essentially all rainfall over essentially the whole site, which is incompatible with three things at once: the stated 40% green and open space, any groundwater recharge, and any downstream environmental flow. At 90 MLD the water is watershed water, which is the community's water.

Sustaining supply through roughly 180 dry days requires 11.7–16.2 million cubic metres of storage, a major dam that appears in no published plan or cost

estimate. And the 65–90 MLD figure appears to cover direct site cooling and process water only; at a benchmark of about 1.2 gallons per kWh including indirect use, a 3 GW load implies roughly 327 MLD, some 3.6 times the disclosed figure.

On 28 August 2026 the water question acquired a bidder. The BCDA Board granted original proponent status to a consortium of Maynilad Water Services Inc. and the Korea Water Resources Corporation (K-water), the operator of Angat Dam, for an unsolicited proposal reported at ₱14.8 billion to provide long-term water supply and wastewater management at New Clark City. It must still clear the public–private partnership approval process and a Swiss challenge, and BCDA's December 2026 award date is a conditional target. Original proponent status is not a contract award, a construction commitment or evidence that the water exists. Three BCDA figures came with it, all attributed and none verified: New Clark City's existing capacity is an estimated 20–30 MLD; estate capacity could rise to as much as 150 MLD, with the initial system designed for up to 135 MLD; and contemporaneous reporting repeated BCDA's earlier estimate that Pax Silica could eventually require 65–90 MLD. So this one project wants between 2.2 and 4.5 times everything New Clark City can supply today, and roughly half to two-thirds of the initial designed capacity of an estate-wide system that must also serve every other user in it — offered as scale, not as an allocation, and nothing establishes that the 135 MLD would be available here. What the procurement step does not supply is the thing this section has asked for throughout. As at 1 September 2026 no water balance, catchment delineation, dry-season yield analysis, flow-duration curve, dependable drought yield, withdrawal inventory or environmental-flow reservation for this system was located in publicly available BCDA, Maynilad, K-water, NWRB or DENR-EMB material, and the announcement identifies no selected catchment. That is a publication finding rather than a claim that no such work exists — and it is precisely the point, because a December award on a proposal whose water balance has never been published would put the contract ahead of the evidence. The catchment arithmetic above is unaffected.

On power, 3,000 MW is 19.2% of the DOE's official 15,600 MW projection for 2026 Luzon peak demand, and 20.6% of the 14,534 MW peak actually recorded by mid-2026, on a grid that ran a 373 MW deficit under red alert on 15 May 2026

with 4,106 MW on forced outage across 30 plants. BCDA's own signed ACWA lease sets the benchmark: 500 hectares for up to 500 MW, one hectare per megawatt. Supplying the energy of a 3,000 MW continuous load from solar needs roughly 15,000 MW of nameplate and therefore about 15,000 hectares: 9.3 times the parcel and 1.6 times the whole of New Clark City. The renewables claim is not a matter of ambition or cost; on the land available it is geometrically impossible. That impossibility is established for on-site and near-site solar at the ACWA benchmark; whether an off-site renewables-plus-firming configuration could be engineered is unknown, because no one has modelled it, including this report.

On 27 July 2026 this finding stopped resting on this report's arithmetic alone. Energy Secretary Sharon Garin told Rappler that connecting the full 3 GW load is "too dangerous," that the grid "will just shut down" if a load that size is lost, that 100–200 MW is the manageable ceiling, and that beyond it the project will need its own power plant. The regulator that would have to approve the connection reached the same conclusion independently, and went further than this report had.

The DFC has funded a feasibility study for a $\geq 1,200$ MW LNG terminal and plant. A US development finance institution does not fund a gas feasibility study for a project it expects to run on sunshine. Stated precisely: the LNG study is the only near-term firm-generation option on the record, not a committed plan. Three consequences go unacknowledged: BCDA's "avoid fossil fuels" framing should be corrected; a 1,200 MW combined-cycle plant at high load factor emits on the order of 3–4 million tonnes of CO₂ a year with no published carbon accounting; and LNG is imported and dollar-denominated, creating a structural currency exposure for Philippine industrial power costs.

Positive factors, fairly stated: Clark International Airport is adjacent and handles the air freight by which semiconductors actually move. Subic Bay provides deep-water port capacity and now holds a formal, qualified role: an MOU signed on 20 July and described in BCDA's 4 August release designates it as Pax Silica's preferred maritime gateway, with joint studies and assessments still to follow. The agreement text is unpublished and the designation is not operational capacity. The Subic–Clark–Manila–Batangas rail corridor is progressing; New

Clark City has existing trunk infrastructure. This is a genuinely well-located site. But Philippine industrial electricity at roughly 15 US cents per kWh, about 50% above Indonesia and Vietnam, and logistics at about a quarter of sales are national competitiveness problems. A zone designation does not solve them; it concentrates their consequences.

SOURCES DRAWN ON

T3-12 · T3-17 · T3-26 · T2-04 · T3-06 · T1-22 · T1-23 · T3-27 · A-05 · A-06 · A-08

plus arithmetic derived in the calculation reference

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Economic, employment, fiscal and industrial-policy assessment

Announced: US\$40–70bn and up to a million jobs. Legally committed: zero.

Pairing US\$40–70bn of capital with 130,000–190,000 direct jobs implies 134–196 jobs per developable hectare, a labour-intensive light-manufacturing density. That is not a data-centre density, not a wafer-fab density and not a refinery density. Run it in both directions: if the project is genuinely AI-native, permanent employment lands in the low tens of thousands at most; if it genuinely creates 130,000–190,000 jobs, it must be dominated by assembly, test and packaging at perhaps US\$15–30bn of capital, a very large conventional back-end electronics park, which is a respectable thing to build but is not what is being sold.

BCDA's low-end figure for one 1,618.74-hectare parcel would consume DTI-BOI's entire national target of 128,000 engineers and technicians to be produced for the whole semiconductor and electronics industry by 2028, a talent-pipeline target rather than an employment ceiling. Its high-end figure exceeds total employment across all 4,744 Subic Bay Freeport locators. The Labor Secretary's figure would exceed the combined workforce of Subic and Clark roughly three times over. The only bottom-up figure on the record is "thousands," from the named anchor.

On the fiscal side, PHP 60bn of lease income over 25 years equals PHP 148.26 per square metre per year, with a present value of about PHP 25.6bn, 0.59% to 1.03% of the capital it is meant to host. No independent land valuation has been published, which is a governance failure independent of whether the rent is

adequate. The PHP 68–75bn withholding tax claim implies average compensation of about PHP 2.13m per worker: 2.4 times a Philippine semiconductor engineer's salary and 8.1 times an operator's, and the implausibility increases as the assumed tax rate falls, so the finding is robust. BCDA closed the one remaining escape route itself on 23 July 2026, describing the figure as the tax contributed by the workers, with other shares bringing the total to PHP 180bn. On that stated composition the conclusion is no longer that the fiscal case cannot be assessed, but that one of the two headline figures is materially overstated.

Correction, 10 August 2026: earlier versions described BCDA's US\$200bn export projection as annual. New reporting places full development on an approximately 30-year horizon but does not consistently establish whether the figure is annual, cumulative over that horizon, or measured on another basis. The 2.37× comparison with one year of Philippine merchandise exports survives only as a non-period-equivalent comparison of nominal magnitudes; the projection and its temporal basis remain unsupported without the underlying study.

No published estimate exists of the cost of fiscal incentives. Under CREATE MORE, registered enterprises may take 5% SCIT or 20% CIT with enhanced deductions including a 100% additional deduction on power expenses, for up to 17 or 27 years. For a project defined by extreme electricity intensity, that is a very large tax expenditure. A project that leads with gross tax revenue while omitting tax expenditure is presenting half a ledger. Public cost per permanent job cannot presently be computed, and that it cannot be computed is itself the finding.

The genuine industrial-policy case should not be caricatured. The manufacturing gap is real and widening. The allied advantage, comparative non-entanglement with Chinese capital, is genuine and time-limited. BPO vulnerability at 7.4% of GDP makes an alternative growth engine urgent. And the country's back-end semiconductor base is a real asset, with electronics at US\$45.89bn, or 54.3%, of a US\$84.48bn export book in 2025, growing 16.11% year on year. But this case argues for negotiating hard, not for accepting the current terms.

SOURCES DRAWN ON

T3-09 • T3-19 • T3-23 • T3-28 • T3-29 • T1-17 • T1-19 • T2-03 • A-04 • A-07

Legal and regulatory assessment

Executive agreement or treaty? The question has not been answered.

The Declaration is non-binding and creates no domestic legal effect. The framework agreement is the instrument that matters, and its text does not exist publicly. The threshold in Article XVIII, Section 25 of the 1987 Constitution is *military* character, so the exposure is contingent rather than established. The substance-over-form analysis rests on *Saguisag v. Ochoa* (G.R. No. 212426, 2016) and its three standards, independence from foreign control, sovereignty and applicable law, and national security, which track precisely the clauses in the published BCDA letter. If the framework contains long-term exclusive foreign use, restricted access, a distinct internal security regime or dual-use functions, it is legally vulnerable and should not proceed as a bare executive agreement. There is also an independent route to Senate concurrence under Article VII, Section 21.

Several statutory questions are open. Whether the Section II.3 exclusive-use clause permits private industrial locators. Whether BCDA may enter a Supplemental Agreement "on behalf of the Philippine Government." RA 7227 §5(c) does confer power to contract "with foreign government entities," but that is commercial capacity only; the Act nowhere confers power to bind the Republic as a foreign-relations act, so the open question narrows to exactly that. BCDA's own charter term runs fifty years to about 2042 (RA 7227 §3), which sharpens rather than settles the succession question under a 99-year lease. And classification of the instrument follows substance "regardless of nomenclature" (EO 459, s. 1997, §2(a)), calling it an arrangement rather than an agreement decides nothing either way. Whether RA 12252's 99-year lease ceiling applies at all. The regime it amends covers private lands leased by registered foreign investors; New Clark City is state land, and the statute confers no authority for a master lease to a foreign government. Both points are threshold questions rather than details. Whether IPRA certification precondition and FPIC processes are engaged notwithstanding the absence of a titled CADT, under the native-title doctrine, they do not depend on a CADT having issued.

No formal legal opinion from the DFA Office of Legal Affairs or the Office of the Solicitor General has been published on any of these questions. Publishing them is cheap, fast, and entirely within the executive's control.

SOURCES DRAWN ON [T1-12](#) · [T1-13](#) · [T1-05](#) · [T3-01](#) · [T3-02](#) · [A-09](#)

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Environmental and social assessment

No project-specific EIS, water balance, energy plan, biodiversity survey or social baseline exists.

The threshold finding is an absence. No project-specific Environmental Impact Statement, water balance study, energy plan, biodiversity survey, cumulative impact assessment or social impact assessment for the Pax Silica parcel is on the public record. DENR has stated that an EIS and Environmental Management Plan will be required, with Multipartite Monitoring Teams. None has been produced.

The cumulative dimension is the one most likely to be missed. An assessment scoped to the parcel boundary would exclude the ACWA solar site, the LEC rail corridor, the LNG terminal and plant, the proposed Subic–Clark jet-fuel pipeline, and any upstream mining expansion, which together are the actual footprint.

On indigenous rights, BCDA's position that no ancestral domain is affected rests on the absence of a titled domain, not the absence of a claim. Aeta Hungey CADT applications over Capas were filed in 1999, 2014 and May 2019, and displacement disputes at New Clark City have run since 2018. The dispute over affected households, BCDA's "about 10 farmers" against campaigners' ~20,000 Aeta and farmers, is unresolvable without Annex A; the two figures are almost certainly describing different footprints. On-site reporting published 18 August 2026 adds a departure account the hearing record did not contain: two residents of Sitio Sapang Kawayan said they were told they could be required to leave by December, one recalling only until Christmas, with no relocation destination or assistance communicated to them and payment said to cover their houses but apparently not the land. That is reported testimony, not an agency record — no corresponding BCDA notice, valuation schedule, relocation plan or demolition

order has been published. The commission announced on 20 August 2026 that it had conducted or begun a census and validation of Aeta Hungey households at that sitio, following its chairperson's stated intention at the 14 August Senate hearing to obtain an exact validated count; the reporting carrying that announcement appears largely derivative of it, and no household, family or person total, boundary, method or reference date has been published.

On 31 August 2026 the opposition acquired a name and a single structure. The Network Opposed to Pax Silica was launched in Quezon City as a multi-sectoral alliance of civil-society, religious, scientific, farmer, student and environmental organisations seeking to halt the initiative. At the launch Petronila Capiz-Muñoz, identified as chieftain of the Aeta community at Sitio Sapang Kawayan, told reporters that residents had learned of the project through social media, that there had been no consultation, and that they had again been told to leave, this time by December, and said the development threatened their community, livelihood, church and burial ground. This is attributed testimony and nothing more. Its weight is that it carries, from the chieftain herself at a public event and in more than one outlet, the same December-or-Christmas account this report has held since 18 August from two other residents. It establishes no official or documented deadline; the quotations reached English through translation; BCDA's contrary position stands, and displacement remains disputed. It is an alliance launched by its participating groups, and nothing here establishes registration, membership numbers or representativeness.

On 1 September 2026 a cabinet department said its own assessment is unfinished. At the House budget briefing on the Department of Agriculture's 2027 budget, Gabriela Women's Party Rep. Sarah Elago asked whether the department had assessed the project's effects, citing reports that around 15,000 farmers and up to 20,000 Aeta people could lose their livelihoods and ancestral lands. Agriculture Secretary Francisco P. Tiu Laurel Jr. answered "Right now, we are still thoroughly assessing the full effects of Pax Silica. The initial reports I have seen indicate that not that many people will be affected. But our assessment is not yet finished", added "From what I understand from what I see on TV, within the 1,600-hectare Clark area, it doesn't seem like there are that many directly affected farmers. I really cannot say as of now until our study comes out on what the effects will be on agriculture", and, asked when it would

be done, said "Perhaps, in another 30 days". The exchange was in Filipino and the English follows GMA News's rendering; the Inquirer rendered portions differently, puts the farmer figure at approximately 15,200, and does not carry the Aeta figure. No DA administrative order, terms of reference, scope, method, team, completion date or commitment to publish was located in this review, so the thirty days is a tentative estimate given under questioning and not a written or publicly documented departmental timetable. This preserves the finding that the affected-household count is unknown while adding mixed evidence about the competing claims: the unfinished assessment reinforces the uncertainty, and the Secretary's repeated preliminary impression points directionally toward the lower end of the dispute and away from the campaigners' cited figures, but it verifies no figure because he supplied no count or completed method. Rep. Elago's figures are her characterisation of third-party reports and are not adopted here.

On hazardous materials, semiconductor and refining chemistry generates acids, solvents, fluorinated gases, tailings and residues. No treatment, storage and disposal plan has been published, and the former base lands at Subic and Clark have a documented contamination history. Financial assurance bonds and environmental liability insurance sized to remediation cost are the standard response and are absent.

SOURCES DRAWN ON [T3-16](#) · [T3-17](#) · [T2-06](#) · [T4-05](#) · [T1-20](#) · [A-11](#) · [A-12](#)

Geopolitical, sovereignty and national-security implications

A strategy of displacement, stated by its author, hosted physically by the Philippines.

The US fact sheet is unusually explicit: the Luzon hub is intended as the first Zone in a broader industrial network, and that network is described as capable of competing with, and ultimately displacing, the concentrated supply chains on which the world currently depends. That is the mission statement of the enterprise the Philippines has agreed to host first. It is a source of both leverage and exposure.

A reported instance, and its limits. Reuters, in a wire carried by CNBC on 15 August 2026 and by GMA News in Manila on 16 August, reported that the State Department has prepared a draft letter to the 35 signatories of the Joint Statement on AI Opportunity, the Philippines among them, warning that they will be excluded from Pax Silica if they also sign up for a competing framework. The draft states that signature of the Declaration "is not merely a membership subscription, but a commitment" and "cannot be held alongside membership in duplicative initiatives whose expectations conflict with our own." Reuters reports the letter does not specifically mention China; the competing framework it identifies is the World Artificial Intelligence Cooperation Organization, whose establishing agreement China's foreign ministry records as signed by representatives of 29 countries on 16 July 2026. The caveats are load-bearing and are why this moves no judgment here: the draft is undated and unsent, Reuters could not determine when or whether it would go out or in what form, the State Department declined to comment on "purportedly leaked internal documents", and the account rests on one news organisation, one anonymous official and a document this report has not seen; the many republications are the same wire copy, not corroboration. As reported it is an internal draft, not announced United States policy. No express exclusivity or incompatibility clause appears in either instrument the Philippines has signed. The narrow question this raises is answerable in the framework text: whether participation is stated to impose any restriction on the Philippines joining other countries' AI or supply-chain initiatives.

The counterparty relationship is asymmetric in a way the framing obscures. The Philippines is being asked to grant durable, specific, physical concessions, land, water, power, rent forgone, in exchange for a non-binding declaration and feasibility studies, by a partner that imposed an additional 12.5% tariff on Philippine exports on 24 July 2026.

The claim that the project is purely commercial is not sustainable as stated. The Philippine Ambassador to the United States has publicly linked Pax Silica revenue to the country becoming "more militarily equipped." No dual-use exclusion clause is published, and no national security assessment of concentrating strategic assets near Clark and existing EDCA sites has been published either.

China has twice demonstrated willingness to use rare-earth export controls as leverage, and Philippine agricultural exports are a soft and historically used pressure point. Keeping the Zone genuinely multilateral, with Japanese, Korean and European participation, is both a commercial and a geopolitical hedge.

SOURCES DRAWN ON [T1-03](#) · [T3-01](#) · [T3-02](#) · [T1-18](#) · [A-10](#)

Stakeholder and distributional analysis

Gains concentrate; risks distribute.

Gains concentrate in foreign investors, the national government and the construction sector. Risks concentrate in Tarlac's water users, Luzon's electricity consumers, Philippine taxpayers funding enabling infrastructure and incentives, and Aeta and farming households whose numbers remain unpublished.

BCDA and the executive speak frequently and are extensively documented. Affected communities are represented mainly through advocacy intermediaries. Two sets of actors with decisive power remain conspicuously silent: NGCP and the ERC, who would bear the blame for reserve shortfalls and price effects, and local government, where no independently verified position from the Tarlac provincial government or the municipality of Bamban was located. The host municipality of Capas has entered the record procedurally — Mayor Roseller “Boots” Rodriguez wrote to BCDA on 31 July seeking project information, and reporting on 4–6 August described an announced and then a held meeting, which BCDA characterised as a step toward further consultation — but no Capas resolution, meeting record, consultation plan or position on the merits was found. NCIP has entered this assessment's public record through a community dialogue reported on 8 August and an announced census and validation activity of 20 August that published no result, but nothing in that record indicates initiation of the certification-precondition process. No local government has stated a position on the merits, which remains the largest gap in the evidence base and a governance failure in its own right.

On the critical side, the Makabayan bloc has the agenda-setting role but Akbayan's is the more consequential critique, transparency, ownership structure,

monopoly safeguards, undue foreign influence and critical-infrastructure risk. That critique is now a filed instrument: House Resolution 1227, filed on 28 July 2026 by Representatives Cendaña, Diokno and Kiram Ismula with Rep. Bag-ao, read on 3 August and referred to the Committee on Economic Affairs, where it has been pending since 11 August. Filing and referral establish no inquiry: none has been calendared, heard or reported out. Church organisations, historically decisive in Philippine politics, are critical and have now mobilised: Caritas Philippines formally opposed the hub "in its present form" on 4 August; the Conference of Major Superiors in the Philippines wrote to the President ahead of the SONA, and religious groups joined SONA-day protests police put at around 6,000. Domestic big business, Ayala, the Makati Business Club, AmCham, is the swing constituency, interested and currently unaligned. The Manila Times reported on 11 August that SEIPI now backs the initiative and proposes a higher-value manufacturing ecosystem with infrastructure, workforce, supplier-development, incentive and environmental measures; the reported position paper was not independently retrieved, and none of its prescriptions is treated here as adopted policy or technical evidence. A new zone with preferential terms still competes with existing firms for talent and investment, which is why a competitive-neutrality review by the Philippine Competition Commission belongs in the process.

SOURCES DRAWN ON

[T4-01](#) · [T4-03](#) · [T4-04](#) · [T4-05](#) · [T4-07](#) · [T3-18](#) · [T3-11](#) · [T3-25](#) · [T3-30](#)

The public conversation: a social-listening analysis

6,437 mentions, December 2025 to SONA eve. The conversation turned, and it is still turning.

Section 17 mapped who the stakeholders are; this section measures what they are actually saying. The source is a social listening export of 6,437 public mentions of "Pax Silica" worldwide from 6 December 2025 to 27 July 2026, stated by the provider to be a 10% sample excluding reshares, implying a universe on the order of 64,000 original posts, and measuring original speech rather than reach. The 10% rate is the provider's statement, not independently verified, so the shares here are sample-dependent estimates; movements within

this export on its one constant method are the reliable signal, not comparisons against figures collected differently. An authenticated inspection on 2 August put the gap at roughly 4.7 times: originals are about 21% of all matched activity, so those 64,000 originals sit inside something on the order of 300,000 pieces of total activity.

Before the Philippines joined, Pax Silica was covered, not discussed. The 2,286 pre-accession mentions were 60% online news and 28% X, with 75.2% neutral and a net of -1.0, the signature of wire-service copy. Volume moved only when a country signed, and India's accession on 20 February was the single largest day of the whole record outside July, and net positive. Philippine-related content was 0.7% of that phase.

Accession did not just add the Philippines to the conversation; the Philippines took it over. Post-accession, 46.3% of mentions are Philippine-related and a third are in Filipino. The top channels became Facebook at 31%, X at 23% and Reddit at 23%, while news fell from 60% to 18%. Reddit went from 39 mentions to 943, a 24-fold increase. Net sentiment moved from -1.0 to -24.8.

The monthly trajectory is a structured deterioration punctuated by one recovery. April from the 16th: 181 mentions, net -3.3. May: 495, net +12.1. June: 548, net -11.7. July: 2,927, net -34.8. May's positive spike coincides with the government's most defensive month, the public rejection of the US jurisdiction-and-immunity request on 18 May. The Philippine public rewarded the government for saying no. The subsequent slide tracks the disclosure vacuum.

July was an eruption: 45% of the entire eight-month record, with the final eight days carrying 36.4% of everything ever said. All five of the record's biggest days fall in that window and all are sharply negative, 24 July at 621 mentions and net -43 as the BCDA figures blitz, the 99-year-lease disclosure and the US tariff landed together; 22 July at net -50 during Secretary Rubio's Manila visit amid protests. The opposition has minted its own hashtag: #NoToPaxSilica appears 50 times against #PaxSilica's 105.

The topic structure is the finding. The high-volume topics are contested but balanced, AI and technology at 41.8% of mentions sits at net -1.5, geopolitics at 20.1% sits at 0.0, jobs at 17.3% is net +2.6 and minerals at 12.3% is net +2.3. The

public genuinely argues both sides of the economics. The low-volume topics are one-sided: water and environment at net -43.8, land and indigenous rights at -50.3, governance and corruption at -54.4. These are one-sided grievances. BCDA's July "myths vs facts" campaign was aimed precisely at the water and displacement claims, and the July data show no rehabilitation of those categories. The corruption category is the smallest and the most negative of all, the theme officials have addressed least.

Four implications. The political-risk register is measurably live, and the negative surge is accelerating into the November signing window rather than fading. Assertion is failing as a communications strategy and disclosure is untested, the two best sentiment months are February and May, and the worst is July, the month of the largest volume of official claims and the smallest volume of official documents. The conversation has moved to venues the government does not brief: Facebook, Reddit and X carry 77% of post-accession discussion, a third of it in Filipino, while Palace briefings remain optimised for a news channel that has fallen to 18%. And four new monitoring indicators follow: monthly net sentiment on a constant method, the #NoToPaxSilica-to-#PaxSilica ratio, the channel mix, and the water and land topic share.

Caveats applied throughout: machine sentiment is unreliable on Filipino and Taglish irony, so levels are directional and month-to-month changes on a constant method are the reliable signal; topic categories are keyword-based and 33.3% of mentions match none; channel coverage reflects the listening platform's access, with no TikTok and only public Facebook content; and Philippine-related and Filipino-language classifications are this report's, not the platform's.

Relabelling note, added v2.30. The figures in this section use the listening provider's sentiment labels and are preserved unchanged as the record of that analysis. For the site's running exhibit, the same 6,437 mentions were relabelled by the software that labels the daily collection, which measures sentiment toward the project among relevant mentions rather than general tone. Under that scheme the early months read strongly positive, at +24.7 to +50.7 net, where this section reads them as near-neutral wire coverage; May shows no recovery relative to April, at +39.4 falling to +28.5, so the reading that the public rewarded

the May refusal stands only within this section's own constant method; and July's collapse replicates almost exactly, at -35.6 against the -34.8 here. The divergences and their concordance are documented in the assessment's v2.30 version note and Appendix H.27.

SOURCES DRAWN ON [T3-13](#) · [T3-14](#) · [T3-15](#) · [T4-02](#) · [T4-08](#)

International comparisons and lessons

Six comparable cases. Silicon Valley is not one of them.

Foxconn in Wisconsin is not an analogy but a precedent involving the same counterparty. Announced in 2017 as US\$10bn and 13,000 jobs with up to US\$2.85bn in state credits; renegotiated in 2021 to US\$672m and 1,454 jobs with credits cut to US\$80m, but those 2021 figures are renegotiated contractual targets for tax-credit eligibility, not delivery. WEDC-verified actual delivery through 31 December 2024 is approximately US\$717m invested cumulatively, 1,242 jobs and US\$62.9m of credits earned. Against the original announcement that is ~7.2% of investment and ~9.6% of jobs. A November 2025 WEDC-Foxconn amendment plans a further US\$569m and 1,374 jobs by 2029. The lesson is not that Foxconn is uniquely unreliable, it is that a wealthy, institutionally strong government with sophisticated counsel could not hold a large manufacturer to a headline announcement, and the only thing that protected its taxpayers was the performance-linked clawback in the contract. The Philippines has no such structure, no contract, and no clawback.

Penang shows that value-chain ascent is real but generational, driven by skills investment and supplier development rather than by zone designations or land concessions. The Philippine binding constraint is skills depth and supplier capability, not land, and a country that responds to that constraint by offering land is answering a question nobody asked.

Indonesian nickel downstreaming is the most directly transferable case: a host state that controls a scarce input can dictate terms. Indonesia used regulatory leverage over its resource, not land concessions. The Philippines holds the world's fourth-largest copper and fifth-largest nickel and cobalt reserves, and

is currently leading with the concession rather than with the lever. The counter-lesson matters too, Indonesia's approach imposed real environmental and social costs.

India shows that even a large domestic market with deep engineering talent could not skip the back-end-first sequence. Vietnam shows that export volume without enforced local content produces thin value capture. And Intel in the Philippines, 1996–2009, is the domestic precedent: the country already hosted a marquee American semiconductor anchor for thirteen years, and neither retained it nor built a domestic chip industry from it. The capital went to Vietnam. The variable that determines whether this time differs is not the size of the announcement but whether binding technology-transfer and supplier-development obligations are written into the contract.

SOURCES DRAWN ON [T1-21](#) • [T2-01](#)

Scenario analysis

Five futures, each with a probability band of roughly ± 10 points, explicit triggers and early-warning indicators.

Scenario A: proceeds substantially as announced, ~10%. Scenario B: proceeds but narrower, slower and less capital-intensive, ~35%, the most likely single outcome. Scenario C: delayed or stalled, ~30%. Scenario D: external geopolitical or trade shock, ~15%. Scenario E: no project, and an alternative industrial policy counterfactual, ~10%.

Scenario B deserves particular attention because it is both the most likely and politically damaging. What gets built is a conventional advanced-electronics park with an ATP core, genuinely positive for the Philippines, and certain to be reported as a failure because the gap will be measured against 190,000 jobs and US\$70bn. This is the strongest argument for the government to reset expectations now, before the numbers become the benchmark.

The outcome is most sensitive, in order, to: whether a named anchor reaches financial close with disclosed capital; whether firm power is delivered, when, and at what price; whether water storage is built and abstraction capped; whether

the framework survives legal challenge; the global AI capex cycle; and US trade policy toward the Philippines. Three of the six are within Philippine control, and all three are currently unresolved. That is where policy effort should concentrate, because it is where effort changes outcomes.

SOURCES DRAWN ON [T3-06](#) · [T3-05](#) · [T3-20](#) plus arithmetic derived in the calculation reference

Risk register

Twenty-one risks, with likelihood, impact, exposed parties and early-warning indicators.

The highest-likelihood risks are that investment does not materialise at announced scale; that job numbers are over-delivered on paper and under-delivered in fact; that fossil lock-in contradicts climate commitments; that terms are fixed at a disadvantage because the Year-3 rent and term remain undetermined at signature; that value capture remains thin in an enclave outcome; and that a good outcome is read as a failure.

The highest-impact risks are that water demand cannot be met without taking community or irrigation water; that a constitutional challenge under Article XVIII, Section 25 succeeds; and that concentrating strategic assets near Clark creates a physical targeting exposure.

One risk has already materialised. On 24 July 2026 the USTR imposed a 12.5% forced-labour tariff on Philippine exports, a deterioration in the economic relationship despite alignment. The Philippines was one of 60 economies investigated and has formed a response panel; its exports to the United States had grown 23.8% to US\$6.68bn over January–May. The mitigation is to link framework concessions explicitly to trade-treatment commitments, and not to concede while penalties stand.

Two risks are worth naming because they are absent from official discussion. Corruption and rent-seeking in a large land-and-incentive programme is rated medium-high, against a record that includes 421 ghost projects among 8,000 inspected in flood control, and an unsolicited-proposal route already in use for the fuel pipeline. And data governance and IP leakage is rated medium-high,

because no published provision addresses data localisation, lawful access, cross-border transfer, sovereign compute access or IP ownership for work done on Philippine soil. Across the register, the mitigations that recur are the same handful: milestone-based land release in tranches; performance-linked clawbacks; conditions precedent on firm power and financed water storage; published tax-expenditure estimates; NCIP engagement before signature; and a shorter initial term with performance-linked renewal rather than 99 years granted upfront.

SOURCES DRAWN ON [T2-04](#) • [T3-17](#) • [T3-07](#) • [T1-16](#)
plus arithmetic derived in the calculation reference

Overall assessment

A serious strategic opportunity attached to a badly documented transaction.

The two things are separable, and almost all of the confusion in Philippine public debate comes from treating them as one. The strategic opportunity is real: an allied-supply-chain position that is genuine and time-limited, a credible upgrade path from back-end assembly into advanced packaging, and an urgent need for a growth engine as BPO faces AI displacement.

The transaction is badly documented. The operative instrument describes a coordination office, not an industrial district. Consideration is undetermined. The term is unstated. The map is missing. The studies behind every headline figure are unpublished. The water balance does not exist. The energy plan contradicts the public framing. And no legal opinion has been published on whether the framework requires Senate concurrence.

None of that is an argument against the project. In fairness, some of the opposition is overstated too: the light-pollution claim exaggerates, the rare-earth-plunder claim is substantially overstated, and the dual-use critique in its strongest form proves too much, since dual-use characteristics are inherent to essentially all modern computing hardware. None of that is an argument against the project. All of it is an argument against signing on this record. Every one

of the gaps is closeable within months, at negligible cost, by the executive acting alone.

SOURCES DRAWN ON T1-05 • T1-14 plus arithmetic derived in the calculation reference

24

Recommendations for the Philippine government

Thirty-nine recommendations, starting with eleven that cost almost nothing.

The immediate no-regret actions are within the executive's sole control and would improve the Philippines' position whether or not the project proceeds: publish Annex A; publish the draft framework with a comment period; correct the miscited charter; publish the underlying studies or withdraw the figures; impose single-source discipline on official statements; obtain and publish DFA-OLA and OSG opinions; formally engage the NCIP; commission independent water and grid studies; require NGCP to state its interconnection and reserve-margin position and the ERC to say who bears the cost of transmission reinforcement, the DOE having answered on 27 July; publish a tax-expenditure estimate; and convene the Tarlac provincial government and the municipalities of Capas and Bamban.

Before any contract or construction: set the Year-3 rate and term against an independent valuation; resolve the exclusive-use clause; write an express Philippine governing-law and jurisdiction clause; make land handover conditional on financed firm generation and financed water storage, which is now the Energy Secretary's stated position and not only this report's recommendation, and record in the framework a defined on-grid ceiling consistent with the DOE's 100–200 MW figure, with any load above it contingent on commissioned dedicated generation; require a project-specific ECC with a cumulative impact assessment; release land in tranches against verified capital and employment with automatic reversion of undeveloped tranches; write hard water conditions into the instrument; and add a data governance and IP annex including an allocation of sovereign compute for Philippine public and research use.

On medium-term industrial policy: attack the electricity cost gap directly, which is the single highest-return action available and is not contingent on Pax Silica;

use minerals leverage instead of land concessions; target advanced packaging rather than fabs; fund supplier development and workforce programmes against the 128,000-worker goal; guarantee competitive neutrality through the PCC; and diversify anchors deliberately, because a zone with one anchor has the Intel-in-Cavite risk profile.

And on contingency: automatic reversion and clawback if milestones are missed; break clauses on defined non-performance; a shorter initial term of 25 years with performance-linked renewal; tenure-linked incentive recapture so a departing anchor repays what it consumed; and a published fallback plan for the 1,618.74 hectares if the project does not proceed.

SOURCES DRAWN ON [T1-05](#) • [T2-05](#) plus arithmetic derived in the calculation reference

25

Preconditions, safeguards and negotiating red lines

Seven preconditions before signature, eleven red lines that should not move, and a two-branch decision rule for November.

All seven preconditions must be met: the parcel legally defined and Annex A published; the draft framework published with a public comment period; independent water balance and grid adequacy studies published; the Year-3 rent and lease term determined against an independent valuation; DFA-OLA and OSG legal opinions published; the NCIP certification precondition process formally initiated; and the activity mix and all underlying economic studies published including the tax-expenditure estimate. If any one is unmet in November, the Philippines should not sign. None takes more than a few months. The only cost of insisting on them is a delayed photograph.

The red lines: no application of foreign law to Philippine territory, and no immunity beyond general law; no restriction on Philippine regulatory jurisdiction inside the Zone; no stabilisation clause freezing environmental or labour standards; no exclusive-use grant to a foreign government at this scale without Senate concurrence; no lease with consideration left undetermined at signature; no 99-year term granted upfront without performance-linked staging; no commitment on mineral supply without a binding domestic processing obligation;

no waiver of liability for contamination or worker injury; no classified annex withheld from the Senate; no transfer, sublease or collateralisation of the master lease without government consent on each occasion.

And one that is not a legal term at all: do not sign to meet another country's summit calendar. If the terms are not ready in November, they are not ready in November.

These resolve into a two-branch decision rule, because the real red line is not the November ceremony but the creation of substantive rights before due diligence is complete. Branch one covers any binding instrument: do not sign anything that grants land possession or exclusive use, fixes a long lease term, leaves rent undetermined, restricts Philippine jurisdiction or regulatory authority, grants immunity, commits public infrastructure or fiscal incentives, creates mineral-supply obligations, permits subleasing, transfer or collateralisation of a land right, or gives any investor or foreign government preferred rights, unless all seven preconditions are satisfied first and the red lines are respected in the text. Branch two covers a strictly non-binding framework, which is acceptable and may even be tactically useful for the November milestone, but only if the text itself expressly states that it creates no lease or land right, confers no investor entitlement or exclusivity, commits no public funding or incentives, leaves every project subject to ordinary Philippine law and permits, allows either government to withdraw, and subjects every subsequent binding instrument to separate approval and public disclosure. A framework silent on those points should be treated as branch one.

So the question to ask of whatever is tabled in November is not "is it binding?" as a label. Under EO 459's substance-over-nomenclature principle it is: what rights does this text create, and for whom? If the answer is "none, expressly," the signature is a photograph. If the answer is anything else, the seven preconditions apply in full.

Questions that must be answered publicly

Thirty-three questions to BCDA, the executive, the regulators, the United States and the investors.

To BCDA, the questions begin with the map and end with the open-space covenant, and include the composition of the PHP 68–75bn withholding figure, the employment multiplier behind 500,000–800,000 indirect jobs, the assumed domestic value-added share of US\$200bn in exports, the identity of the "US-based company serving as project proponent," and, now answered on the recording, what was meant by wanting contracts "immune from any environmental situation."

To the executive, DFA and DOF: whether the framework goes to the Senate and on what legal opinion; what governing law and dispute forum will apply; whether a national security assessment has been conducted; what trade-treatment commitments the Philippines is seeking given the 12.5% tariff; and which body of government has formally approved the Philippine position, and when.

To the regulators: whether NCIP has initiated a certification precondition process and what the status of the Aeta CADT applications is; whether any project-specific ECC exists; on what technical analysis the NWRB sufficiency statement was made; how DOE and NGCP will serve 3 GW and who bears the reserve-margin risk; and whether the PCC will review the incentive package for competitive neutrality.

To the United States: what legal arrangements it considers necessary to operationalise the Zone, the question the State Department declined to answer in May 2026; what "joint governance" means concretely; what financial commitment exists beyond feasibility studies; whether it will accept an express dual-use exclusion clause; and how it reconciles designating the Philippines as the site of its flagship Zone with imposing a forced-labour tariff on Philippine exports. And to Foxconn specifically: given Wisconsin, will it accept performance-linked clawbacks tied to verified investment and hiring?

Indicators to monitor

What resolves within one year, three years and five years.

Within one year, the decisive period, watch whether a framework is signed in November and whether its text is published; whether Annex A, the water balance and the grid study appear; whether the Year-3 rent and term are fixed at signature, which is the clearest available signal of whether the Philippines negotiated or capitulated; whether the framework contains clawbacks, employment covenants and local-content obligations; whether the Senate asserts a concurrence role; whether any investor is named with a binding commitment and financial close; and whether Foxconn proceeds beyond due diligence, which is the single most informative signal available.

Within three years: actual capital deployed against the US\$10bn initial target; whether site development began in Q1 2028; contracted and commissioned firm generation and water storage, ahead of load or behind it; verified employment against milestones and the foreign-worker share against the stated under-10%; realised tax revenue and published tax expenditure; and resolution or continued non-resolution of the Aeta CADT applications.

Within five years: the domestic value-added share of Zone exports, which is the single most important development metric; the number, revenue and employment of Philippine-owned supplier firms serving the Zone; whether any activity has moved beyond ATP into advanced packaging, design or materials; whether the industrial electricity price gap with Indonesia and Vietnam closed; water availability for Tarlac agriculture and drought performance; the compliance record; and whether the project's emissions are consistent with the Philippines' NDC.

SOURCES DRAWN ON [T3-06](#) • [T3-03](#) • [T1-17](#) plus arithmetic derived in the calculation reference

Research limitations and evidence that could change the conclusions

What would move each judgment, and in which direction.

Publication of Annex A would resolve the affected-household dispute, the catchment question and the overlap with Aeta CADT applications simultaneously. It is the single highest-value disclosure available.

Publication of the underlying economic studies would either substantiate the headline figures or confirm that they are unsupported. A published activity mix would make every impact estimate falsifiable for the first time.

A signed, disclosed anchor lease with financial close would move the assessment materially toward Scenario A or B and away from C. Conversely, no anchor with financial close by Q2 2027 would move it toward C.

A published water balance showing a financed, permitted storage solution with a hard abstraction cap would substantially reduce the highest-impact risk in the register. A published energy plan reconciling the LNG feasibility study with the renewables framing would resolve the most clearly misleading item in the claim matrix.

SOURCES DRAWN ON [A-01](#) · [A-04](#) · [A-05](#) · [A-06](#)

Appendices

Documents register, calculation reference, discrepancy register, verbatim provisions, sources by tier, glossary, and prioritised information gaps.

Appendix A registers the key documents, distinguishing the publicly available, the Declaration, the US media note and fact sheet, the BCDA letter and Note Verbale, from those that are referenced but absent, chiefly Annex A, the Supplemental Agreement and the framework draft.

Appendix B sets out every calculation with its inputs and assumptions, at PHP 61.85 per US\$1: the catchment formula, the storage requirement, the solar land

requirement at the ACWA benchmark, the lease income present value, the withholding-tax reconciliation, and the export ratios.

Appendix C is a figure discrepancy register, a single table of every materially inconsistent number encountered, for use by anyone auditing official statements. Appendix D reproduces the operative provisions of the BCDA letter verbatim, since the wording has been widely paraphrased. Appendix E lists sources by evidence tier. Appendix F is a glossary. Appendix G prioritises the open information gaps by decisiveness.

SOURCES DRAWN ON [T1-05](#) · [T1-17](#) · [T1-19](#) · [T1-20](#)
plus arithmetic derived in the calculation reference

06

sources register

Every source this assessment relies on, numbered and tiered, so any finding can be traced back to what it rests on. Each report section lists the register IDs it draws on; each claim in the checker links here.

[75 REGISTERED SOURCES](#) · [14 REFERENCED BUT ABSENT](#)

tier 1 · primary and authoritative 26 ENTRIES

Official texts, published documents, statutes, statistical releases and FOI responses. Treated as evidence of what was said or recorded, not of whether it is true.

[T1-01](#)

DEC 2025 TO PRESENT

Pax Silica Declaration, full text and signatory list

US Department of State

The founding instrument and its 25 signatories.

www.state.gov →

[T1-02](#)

16 APR 2026

Media Note: US and Philippines launch plans for a 4,000-acre Economic Security Zone

US Department of State

Origin of the 4,000-acre figure and the "first AI-native industrial acceleration hub" designation.

www.state.gov →

T1-03

16 APR 2026

Fact Sheet: Economic Security Zone

US Department of State and Embassy Manila

Contains the "joint governance" and "fuse American expertise in institutions and legal regimes" language.

ph.usembassy.gov →

T1-04

16 APR 2026

Media Note as republished by Embassy Manila

US Embassy Manila

ph.usembassy.gov →

T1-05

9 APR 2026 LETTER, 16 APR 2026 NOTE VERBALE

Note Verbale JMGR-NV-145-2026 with the BCDA proposal letter

PH Embassy Washington and Board of Investments

Four pages, signature redacted. Annex A is absent from the published version. The operative text behind most scope, term and rent questions.

boi.gov.ph →

T1-06

26 JUN 2026

Outcomes of the Second Pax Silica Summit

US Department of State

Does not mention the Philippine Zone.

www.state.gov →

T1-07

20 APR 2026

BCDA announcement: New Clark City to serve as AI hub

BCDA

www.bcda.gov.ph →

T1-08

2026

Fact Sheet: Luzon Economic Corridor

US Embassy Manila

ph.usembassy.gov →

T1-09

11 MAY 2026

Luzon Economic Corridor partnership expansion

US Embassy Manila and Embassy of Japan

ph.usembassy.gov →

T1-10

4 FEB 2026

PH and US critical minerals MOU announcement

PH Embassy Washington

philippineembassy-dc.org →

T1-11

FEB 2026

2026 Critical Minerals Ministerial

US Department of State

www.state.gov →

T1-12

1992

RA 7227, Bases Conversion and Development Act of 1992

Congress and BCDA

The actual BCDA charter.

www.bcda.gov.ph →

T1-13

24 MAR 1992

RA 7277, Magna Carta for Disabled Persons

Official Gazette

The statute miscited in the BCDA letter as the BCDA charter.

www.officialgazette.gov.ph →

T1-14

REQUESTED 6 MAY 2026, DENIED 12 MAY 2026

BCDA FOI denial: Pax Silica project pipeline

eFOI portal, tracking BCDA-709787348964

Source of "the project is still on the planning stage and it is premature for BCDA to release any official information".

www.foi.gov.ph →

T1-15

REQUESTED 8 JUN 2026, ANSWERED 10 JUN 2026

BCDA FOI denial: Pax Silica hub site map

eFOI portal, tracking BCDA-462421872795

Map withheld; the 1,619-hectare site is confirmed.

www.foi.gov.ph →

T1-16

PROCLAIMED 20 FEB 2026, EXPIRED 24 JUL 2026

Section 122 temporary import surcharge of 10%

Federal Register document 2026-03824

The predecessor of the July tariff action, and the reason the net change is 10 points down rather than 12.5 up.

www.federalregister.gov →

T1-17

26 MAR 2026

International Merchandise Trade Statistics 2025, final

Philippine Statistics Authority

Exports US\$84.48bn, electronics US\$45.89bn.

psa.gov.ph →

T1-18

Jacob Helberg biography

US Department of State

www.state.gov →

T1-19

FEB 2026

2025 Philippine Trade in Goods

Congressional Policy and Budget Research Department

cpbrd.congress.gov.ph →

T1-20

2022 EDITION

The Mineral Industry of the Philippines

USGS Minerals Yearbook

Used to test the resource-plunder critique against production data.

pubs.usgs.gov →

T1-21

20 APR 2021

Renegotiated Foxconn contract announcement

Office of the Governor of Wisconsin

Primary record of the announced-versus-delivered gap with the same counterparty.

content.govdelivery.com →

T1-22

21 JUL 2026; AGREEMENT SIGNED 20 JUL 2026

SBMA and BCDA agree to use the Port of Subic Bay as Pax Silica maritime gateway

Subic Bay Metropolitan Authority

Primary account of the preferred-gateway designation; studies and capacity development remain prospective.

www.mysubicbay.com.ph →

T1-23

4 AUG 2026

BCDA and SBMA seal Port of Subic Bay role in Pax Silica supply chains

BCDA

Later official release describing the signed agreement and qualified gateway role.

bcda.gov.ph →

T1-24

7 AUG 2026

Secretary Marco Rubio at the American Mining Roundtable

US Department of State

Primary transcript. The roughly US\$3bn discussed is aggregate US domestic mining investment, not Pax Silica funding or a Philippine commitment.

T1-25

18 AUG 2026

Executive Order No. 122, s. 2026 — National Policy Framework for Developing the Critical Minerals Industry

Official Gazette (certified copy)

Added v2.40. The certified text, seven pages, retrieved 28 Aug 2026 and read page by page — superseding this report's earlier record that the operative text was not located. Executed 18 August, not the 21 August widely reported; the Department of Finance's own release also gives 21 August and the discrepancy is recorded, not resolved. Image-only, so every reading rests on manual visual review. It does not name Pax Silica, the United States or New Clark City.

www.officialgazette.gov.ph →

T1-26

12 AUG 2026 (FORUM 10-11 SEP 2026)

2026 Luzon Economic Corridor Investment Forum — event notice and announcement of the inaugural forum

US Trade and Development Agency

Added v2.41. Establishes the dates, Manila venue, the three co-hosting governments (United States, Philippines, Japan), USTDA sponsorship, a stated 600 participants, programme themes including advanced manufacturing, the partner list, site visits at Subic Bay, Clark and Batangas, and restricted attendance. Neither USTDA page mentions Pax Silica, semiconductors, New Clark City or the proposed economic security zone — the timeline row records that on its face and the forum is not treated as evidence about the hub.

ustda.gov →

tier 2 · high-quality analytical 6 ENTRIES

Named specialists and research institutions with disclosed method. Used for benchmarks and interpretation.

T2-01

12 JUN 2026

The Philippines has a golden chance to get Pax Silica right

Lowy Institute, Alvin Camba

www.lowyinstitute.org →

T2-02

2026

In this economy: risks of Pax Silica

JC Punongbayan, UP School of Economics, in Rappler

www.rappler.com →

T2-03

2025 TO 2026

Philippine electronics export performance

SEIPI

Industry baseline for export and value-added comparisons.

seipi.org.ph →

T2-04

2026

Philippine power supply for Q2 2026 remains sufficient but thin reserves leave the grid at risk

Institute for Climate and Sustainable Cities

Grid adequacy baseline.

icsc.ngo →

T2-05

25 JUL 2026

Glass house: evaluating criticisms over PH participation in Pax Silica

Pierre Tito Galla, Newsbytes.ph

Source of the "human first, machine last" safeguard proposal.

newsbytes.ph →

T2-06

13 DEC 2019

The New Clark City: a government sell-out of IP and peasant land for private interests

IBON International

Prior record of New Clark City land conflict.

iboninternational.org →

tier 3 · credible journalism 34 ENTRIES

Established Philippine and international outlets. Used for statements attributed to officials and for dated events.

T3-01

26 MAY 2026

US official says immunity for the Clark hub was taken out of context

Philstar

www.philstar.com →

T3-02

19 MAY 2026

Philippines rejects US request for diplomatic immunity at the planned AI hub

Philstar

www.philstar.com →

T3-03

24 JUL 2026

Pax Silica investors may lease New Clark land for 99 years

Philstar

Primary reporting on lease term, rent and the PHP 60bn projection.

www.philstar.com →

T3-04

24 JUL 2026

BCDA: over 30 firms interested in Pax Silica

Philstar

www.philstar.com →

T3-05

11 JUL 2026

Pax Silica gains pace as the US and Philippines push the AI hub

Philstar

Foxconn and Ambassador Lipton statements.

www.philstar.com →

T3-06

16 JUL 2026

PHL and US finalise draft framework for the Pax Silica AI hub

BusinessWorld

Draft framework, DFC LNG feasibility study and Stanford MOU.

bworldonline.com →

T3-07

24 JUL 2026

Trump imposes 12.5% forced-labour tariff on Philippine exports

BusinessWorld

bworldonline.com →

T3-08

JUL 2026

Myths vs facts: BCDA allays fears on the Pax Silica project

Inquirer

newsinfo.inquirer.net →

T3-09

JUL 2026

Pax Silica hub to bring PHP 180 billion in government income and 190,000 jobs, BCDA

Inquirer

Source of the headline revenue and employment figures.

newsinfo.inquirer.net →

T3-10

JUL 2026

SBMA sees revenue and jobs boost with Pax Silica

Inquirer

newsinfo.inquirer.net →

T3-11

JUL 2026

Pangasinan environmental groups join opposition to Pax Silica

Inquirer

newsinfo.inquirer.net →

T3-12

JUL 2026

Pax Silica AI hub to consume 3 gigawatts at full development, BCDA

GMA

Source of the 3,000 MW load figure.

www.gmanetwork.com →

T3-13

JUL 2026

Explainer: Pax Silica, why are people worried

GMA

www.gmanetwork.com →

T3-14

JUL 2026

Things to know about Pax Silica: Philippine goals and concerns

Rappler

www.rappler.com →

T3-15

JUL 2026

STOP US War coalition on resource plunder criticism

Rappler

www.rappler.com →

T3-16

20 JUL 2026

DENR assesses Pax Silica environmental impact

BusinessMirror

businessmirror.com.ph →

T3-17

22 JUL 2026

Local water source enough to supply Pax Silica operation, water board

BusinessMirror

The NWRB position tested in the water section.

businessmirror.com.ph →

T3-18

19 JUL 2026

Scientists, environmentalists and farmers hit the Pax Silica AI hub

Manila Times

Record of the 13 July protest at the US Embassy.

www.manilatimes.net →

T3-19

22 JUL 2026

Labour chief backs Pax Silica, eyes nearly one million jobs

Manila Times

www.manilatimes.net →

T3-20

7 JUL 2026

Foxconn to anchor the first US-led Pax Silica tech hub in Clark

Manila Bulletin

mb.com.ph →

T3-21

24 JUL 2026

Peso hits an all-time low of 61.84 per US dollar

Manila Bulletin

The exchange rate used throughout this report.

mb.com.ph →

T3-22

25 JUL 2026

Inside Pax Silica: the project that could reshape the Philippines

Daily Tribune

tribune.net.ph →

T3-23

26 JUL 2026

Pax Silica could generate up to 300,000 jobs, PH envoy to the US

Daily Tribune

tribune.net.ph →

T3-24

JUL 2026

iPhone maker Foxconn to anchor tech city in the Philippines

Gulf News

gulfnews.com →

T3-25

8 AUG 2026

NCIP holds dialogue with Aeta community in Tarlac over Pax Silica

GMA News

Reports an NCIP statement and community dialogue; does not evidence initiation of a Section 59 certification or FPIC proceeding.

www.gmanetwork.com →

T3-26

9 AUG 2026

Pax Silica eyes dedicated power plant to meet energy needs

GMA News

Reports BCDA planning concepts; no approval, financing or construction commitment is established.

www.gmanetwork.com →

T3-27

8 AUG 2026

Subic port tapped as preferred gateway for Pax Silica

Bilyonaryo News Channel

Reporting on the BCDA-SBMA agreement, checked against the two official accounts.

bnc.bilyonaryo.com →

T3-28

7 AUG 2026

Pax Silica AI hub expected to yield US\$200bn in exports in 30 years

BusinessWorld

Newer reporting links the projection to full development on an approximately 30-year horizon; the underlying study and the projection's precise periodicity remain unpublished.

bworldonline.com →

T3-29

9 AUG 2026

BCDA sets 30-year development plan for Pax Silica AI hub

Philstar

Corroborates the long-horizon full-development framing, not that US\$200bn is an annual flow.

www.philstar.com →

T3-31

21 AUG 2026

NCIP counts Aeta households amid Pax Silica concerns

Daily Tribune

Reports an NCIP announcement of a census and validation at Sitio Sapang Kawayan. Carried also by Rappler, Brigada Balita, NET25 and News5, several expressly crediting an NCIP social-media post of 20 Aug 2026; the accounts appear substantially derivative of that one announcement. No result published.

tribune.net.ph →

T3-32

23 AUG 2026

Marcos EO puts focus on PH critical minerals

Philippine Daily Inquirer

Reports Executive Order No. 122, s. 2026 on the critical minerals industry, with reaction from Kalikasan, AGHAM and the Chamber of Mines. The order's certified text was retrieved from the Official Gazette on 28 Aug 2026 (see T1-25), superseding this note's earlier record that it was not located; the government broadcaster PTV carries a corroborating summary. No source reviewed reports that the order mentions Pax Silica.

newsinfo.inquirer.net →

T3-33

23 AUG 2026

Marcos' EO 122 a 'wholesale surrender' of PH mineral wealth to foreign, big mining firms - Tinio

Politiko

Carries Rep. Antonio Tinio's statement on EO 122 with quotations the Inquirer account does not contain, including the Pax Silica linkage. Used only as attributed reaction; no primary statement from Tinio, ACT Teachers or the House was located, and the two accounts most likely derive from one release.

politiko.com.ph →

T3-34

15 AUG 2026

Itatayong Pax Silica Project, isang manufacturing hub at hindi AI hub

Radio Mindanao Network

Same-hearing report of the Senate environment committee of 14 Aug 2026, carrying the name "Clark Advanced Manufacturing Park". The sentence carrying it is the reporter's narrative voice, not a quotation of Undersecretary Rodolfo, and the article's own headline calls the project Pax Silica.

rmn.ph →

T3-30

11 AUG 2026

Seipi: Pax Silica could turn PH into manufacturing hub

Manila Times

Reports a SEIPI position paper and is used only for the association's attributed position; the underlying paper was not independently retrieved.

www.manilatimes.net →

tier 4 · stakeholder claims 9 ENTRIES

Government, embassy, corporate and advocacy positions. Used only as evidence of position.

T4-01

APR TO JUL 2026

BCDA, DOF, DOLE, Malacanang and embassy statements

Philippine government and US Embassy

Used only as evidence of position, never as evidence of fact.

T4-02

2026

Under Secretary Jacob Helberg posts on X

US Department of State official, personal account

Used only as evidence of the US framing.

T4-03

2026

Akbayan to Congress: probe Pax Silica, protect national interest

Akbayan Party

www.akbayan.org.ph →

T4-04

19 JUN 2026

Makabayan bloc position and House Resolution 1128

House of Representatives members

Full resolution text not publicly posted at the cutoff.

T4-04b

28 JUL 2026

House Resolution 1227 — legislative record (Akbayan inquiry resolution)

House of Representatives

The House's own record: title, authors, date filed, reading of 3 August, referral to Economic Affairs, pending since 11 August. Primary. The filed text itself was not retrievable, so reported particulars of its scope are not adopted.

congress.gov.ph →

T4-05

JUL 2026

KMP, Kalikasan PNE, AGHAM and Computer Professionals Union statements

STOP US War coalition members

Source of the resource-plunder and watershed critiques.

T4-06

JUL 2026

Propel and International League of Peoples Struggles statements

Advocacy organisations

T4-07

JUL 2026

Philippine Chamber of Commerce and Industry statements

PCCI

T4-08

2026

paxsilicaph.org

Wolf Equity, a private publisher

Expressly disclaims official status. Cited as an illustration of an information vacuum being filled by unofficial actors, not as a source of fact.

paxsilicaph.org →

referenced but not published 14 DOCUMENTS REFERENCED BUT NOT PUBLISHED

These are cited by the parties or required by the analysis, but are not in the public record as at the latest verification. They are listed so a reader can see exactly where the evidence stops.

A-01 BCDA, DFA, US STATE DEPT

Annex A, maps of the proposed 4,000-acre site

Defines the parcel. Every environmental, social, valuation and displacement question depends on it.

A-02 BCDA

Supplemental Agreement on boundaries, legal description and operating terms

Would fix location, term and rent. Not yet executed.

A-03 BCDA, DTI, US STATE DEPT

Framework agreement, the draft arrangement in exchange since 16 Jul 2026 or earlier

The operative instrument, target signature November 2026.

A-04 BCDA

The scientific studies behind the US\$40 to 70bn, jobs, tax and export figures

The entire economic case rests on these.

A-05 BCDA

Water balance and impounding dam design

The binding physical constraint.

A-06 BCDA, DOE, NGCP

Grid interconnection and adequacy study

The second binding constraint.

A-07 DOF, BOI, PEZA

Tax-expenditure estimate for the incentive package

The missing half of the fiscal ledger.

A-08 US DFC

DFC feasibility study, LNG terminal and at least 1,200 MW plant

The actual energy plan.

A-09 HOUSE OF REPRESENTATIVES

House Resolution 1128, full text

The scope of congressional inquiry.

A-09b HOUSE OF REPRESENTATIVES

House Resolution 1227, full text as filed

The scope of the Akbayan inquiry. The House record supplies title, authors, referral and status; the filed text was not retrievable.

A-10 DOW JONES

Wall Street Journal report on US jurisdiction

The origin of the immunity dispute.

A-11 NCIP

NCIP records on Aeta CADT applications over Capas, 1999, 2014 and May 2019

Determines FPIC obligations.

A-12 DENR-EMB REGION III

New Clark City land-development ECC — OBTAINED v2.38: ECC-OL-R03-2019-0304, 24 June 2019

Obtained from BCDA's own published bidding documents, and it corrects two things. Correction (v2.38): this entry previously dated the certificate to 2017 and called it a master-plan ECC; it is dated 24 June 2019 and is issued for the "proposed New Clark City Land Development Project", 9,450.00 hectares under four TCTs. Correction (v2.38): EMB classified it under MC 2014-005 item 3.6.5, "Industrial Parks (horizontal development) with critical slopes", and issued it after an EIS was submitted — so the earlier statement that no EIS-backed zone-level ECC existed is withdrawn. What survives on its face: no manufacturing, semiconductor, data-centre or mineral-processing component is enumerated; Restriction 25 subjects any expansion or modification of approved components to new EIA requirements and requires individual locator ECCs; and it states that it does not create any right nor be used as an authorization to implement the project. It predates Pax Silica and so could not have assessed it as the project now announced. Whether the Pax Silica parcel lies within its boundary is not established, in either direction; its current validity was not determined. Still not obtained: the underlying EIS. BCDA said on 23 July 2026 that the DENR assessment need not conclude before the November signing.

A-13 OFFICE OF THE PRESIDENT, NEDA

Cabinet and NEDA Board records on the Philippine position

Whether the Republic formally deliberated.

What we deliberately did not count as evidence: search-result pages, AI-written summaries, sites that republish without naming a source, and press releases reprinted elsewhere and then counted as independent confirmation. Wikipedia was used only to cross-check dates, and several of its details conflicted with State Department originals.

Every calculation, every inconsistent figure, and the operative wording of the BCDA letter, so a reader can check the arithmetic rather than take it on trust. Appendices A and E, the documents register and sources by tier, are in the [sources register](#).

All calculations use published figures; assumptions are stated. Exchange rate throughout: PHP 61.85 = US\$1, 24 July 2026.

B.1 AREA

QUANTITY	FORMULA	RESULT
Site area	$4,000 \text{ ac} \times 0.404686 \text{ ha/ac}$	1,618.74 ha
Site as share of New Clark City	$1,618.74 \div 9,450$	17.1%
Developable area (net of 40% open space)	$1,618.74 \times 0.60$	971.24 ha
Site in square metres	$1,618.74 \times 10,000$	16,187,400 m ²

B.2 INVESTMENT AND EMPLOYMENT

QUANTITY	FORMULA	RESULT
Investment per ha	$\text{US\$}40\text{--}70\text{bn} \div 1,618.74$	US\$24.7m – US\$43.2m/ha
Investment per ha (PHP)	$\times 61.85$	PHP 1.53bn – 2.67bn/ha
Capital per direct job (low)	$\text{US\$}40\text{bn} \div 190,000$	US\$210,526
Capital per direct job (high)	$\text{US\$}70\text{bn} \div 130,000$	US\$538,462
Direct jobs per ha	$130,000\text{--}190,000 \div 1,618.74$	80.3 – 117.4
Direct jobs per developable ha	$\div 971.24$	133.9 – 195.6
Implied employment multiplier	$500,000\text{--}800,000 \div 130,000\text{--}190,000$	3.8× – 4.2×
Foxconn-scale locators needed for 160,000 jobs (at 3,000–5,000 jobs each)	$160,000 \div 3,000\text{--}5,000$	32 – 53 anchor-scale locators

B.3 WATER

QUANTITY	FORMULA	RESULT
Annual volume at 90 MLD	$90,000 \text{ m}^3/\text{d} \times 365$	32.85 million m^3/yr
Annual volume at 65 MLD	$65,000 \text{ m}^3/\text{d} \times 365$	23.73 million m^3/yr
Population-equivalent (domestic use)	$90,000 \text{ m}^3/\text{d} \div (100\text{--}150 \text{ L/cap/d})$	600,000 – 900,000 people
Catchment required	$A = V \div (R \times C)$	1,460 – 3,129 ha (see §12.1.3)
Catchment as % of site	$\div 1,618.74$	90% – 193%
Dry-season storage (180 days)	$65\text{--}90 \text{ MLD} \times 180$	11.7 – 16.2 million m^3
Indirect + direct water at 1.2 gal/kWh for 3 GW continuous	$26.28\text{bn kWh} \times 1.2 \text{ gal} \div 264.17 \text{ gal}/\text{m}^3 \div 365$	$\approx 327 \text{ MLD}$ ($\approx 3.6\times$ the disclosed figure)
Single advanced fab raw-water demand	$2\text{--}10\text{m gal}/\text{d UPW} \times \sim 1.5 \text{ raw:UPW} \div 264.17$	$\approx 11\text{--}57 \text{ MLD}$

B.4 ENERGY

QUANTITY	FORMULA	RESULT
Project demand as % of Luzon peak	$3,000 \div 15,600$ (DOE 2026 projection) $\cdot 3,000 \div 14,534$ (actual max by mid-2026)	19.2% / 20.6%
Annual energy at 100% load factor	$3,000 \text{ MW} \times 8,760 \text{ h}$	26,280 GWh (26.28 TWh)
Solar nameplate needed for that energy at 20% CF	$26,280,000 \text{ MWh} \div 1,752 \text{ MWh/MW}$	$\approx 15,000 \text{ MW}$
Land required at ACWA benchmark (500 ha per 500 MW = 1 ha/MW)	$15,000 \text{ MW} \times 1 \text{ ha/MW}$	$\approx 15,000 \text{ ha}$
As multiple of the Pax Silica site	$15,000 \div 1,618.74$	9.3×
As multiple of all New Clark City	$15,000 \div 9,450$	1.59×
Existing ACWA solar as share of demand (energy basis)	$500 \text{ MW} \times 0.19 \text{ CF} \div 3,000 \text{ MW}$	$\approx 3.2\%$
DFC LNG plant as share of demand	$1,200 \div 3,000$	40%
Indicative generation capex for 3,000 MW firm	$3,000 \text{ MW} \times \text{US\$}1.0\text{--}1.5\text{m/MW}$	US\$3.0 – 4.5bn
Indicative annual power bill at 15 US¢/kWh, 100% LF	$26.28\text{bn kWh} \times \text{US\$}0.15$	$\approx \text{US\$}3.9\text{bn/yr}$

B.5 FISCAL

QUANTITY	FORMULA	RESULT
Annual lease income	PHP 60bn ÷ 25	PHP 2.4bn/yr = US\$38.8m/yr
Lease per ha per year	PHP 2.4bn ÷ 1,618.74	PHP 1,482,635
Lease per m ² per year	÷ 10,000	PHP 148.26
Lease per m ² per month	÷ 12	PHP 12.36
NPV of lease, 8% real, 25 yr (annuity factor 10.675)	PHP 2.4bn × 10.675	PHP 25.62bn ≈ US\$414m
NPV as share of investment	US\$414m ÷ US\$40–70bn	0.59% – 1.03%
Value of 2-year rent grace at implied rate	PHP 2.4bn × 2	≈PHP 4.8bn (US\$77.6m)
Implied aggregate payroll from PHP 68bn tax at 20% effective rate	PHP 68bn ÷ 0.20	PHP 340bn
Implied average annual compensation (160,000 jobs)	PHP 340bn ÷ 160,000	PHP 2,125,000 (US\$34,357)
Same at 10% effective rate	PHP 68bn ÷ 0.10 ÷ 160,000	PHP 4,250,000
Ratio to PH semiconductor engineer average (PHP 870,938)	2,125,000 ÷ 870,938	2.44×
Ratio to PH semiconductor operator average (PHP 263,118)	2,125,000 ÷ 263,118	8.08×
Ratio to PSA average wage (PHP 21,544/mo = PHP 258,528/yr)	2,125,000 ÷ 258,528	8.22×

B.6 EXPORTS

QUANTITY	FORMULA	RESULT
Claim vs total 2025 PH merchandise exports	US\$200bn ÷ US\$84.48bn (PSA final)	2.37×
Claim vs 2025 electronics exports	US\$200bn ÷ US\$45.89bn (PSA final)	4.36×
Claim vs 2025 semiconductor exports	US\$200bn ÷ US\$34.62bn	5.78×

B.7 COMPARATOR: FOXCONN WISCONSIN - ANNOUNCED, RENEGOTIATED, VERIFIED

METRIC	ANNOUNCED (2017)	RENEGOTIATED TARGET (2021, BY END-2025)	WEDC-VER
Investment	US\$10.0bn	US\$672m	~US\$717m
Jobs	13,000	1,454	1,242
State incentives	up to US\$2.85bn	up to US\$80m	US\$62.9m
Taxpayer saving from renegotiation	-	US\$2.77bn	-

questions that must be answered

Thirty-three questions, addressed to the parties who hold the answers. Most ask only for disclosure of work officials say they already hold; where that work does not exist, the answer is to say so and withdraw the figures it supported.

TO BCDA

- 1. Where exactly is the parcel? Publish Annex A.

TO THE EXECUTIVE, DFA AND DOF

- 1. Will the framework be submitted to the Senate? If not, on the basis of what legal opinion?

- | | |
|---|---|
| <ol style="list-style-type: none">2. Does the exclusive-use clause at §II.3 permit private industrial locators such as Foxconn? If not, what instrument changes it, and under what authority?3. Why does §III cite Republic Act No. 7277, the Magna Carta for Disabled Persons, as the Bases Conversion and Development Act, and why has it not been corrected?4. What is the intended activity mix, in hectares and in capital?5. Publish the studies behind every headline figure. Who conducted them, when, and on what assumptions?6. What is the composition of the PHP 68–75bn withholding tax figure, and what average annual wage does it assume?7. What employment multiplier produces 500,000–800,000 indirect jobs, and from what source?8. What is the assumed domestic value-added share of the US\$200bn in exports?9. What is the proposed lease term and Year-3 rate, and on what independent valuation?10. Is the United States the master lessee? May it sublease, transfer or collateralise, and to whom?11. Who is the "US-based company serving as project proponent," and how was it selected? | <ol style="list-style-type: none">2. What governing law and dispute forum will apply?3. Has a national security assessment of concentrating strategic assets at this site been conducted, and will it be published?4. Given the USTR's 12.5% tariff, what trade-treatment commitments is the Philippines seeking in return for the Zone?5. Which body, Cabinet, NEDA Board, or otherwise, has formally approved the Philippine position, and when? |
|---|---|

12. Publish the water balance, the impounding dam design and footprint, and the abstraction volumes sought.
13. Publish the energy plan, including the DFC-scoped 1,200 MW LNG plant, and reconcile it with the statement that the project aims to avoid fossil fuels.
14. What was meant by wanting contracts "immune from any environmental situation"?
15. What is the estimated cost of fiscal incentives and of public enabling infrastructure?
16. Is the 40% open-space commitment binding on this parcel, and how is it reconciled with maximal rainwater capture?

TO NCIP, DENR, NWRB, DOE, NGCP
AND PCC

1. NCIP: has a certification precondition process been initiated? What is the status of the Aeta CADT applications over Capas filed in 1999, 2014 and 2019?
2. DENR: does any project-specific ECC exist for this parcel? Will a cumulative impact assessment be required?
3. NWRB: on what technical analysis was the sufficiency statement of 22 July 2026 made? Publish it.
4. DOE and NGCP: how will up to 3 GW be served, by when, at what cost,

TO THE UNITED STATES

1. What legal arrangements does the United States consider necessary to operationalise the Zone, the question the State Department declined to answer in May 2026?
2. What does "joint governance" mean concretely, and what does "fuse American expertise in institutions and legal regimes" require of Philippine law?
3. What, if any, US financial commitment exists beyond feasibility studies?
4. Will the Zone have any defence, dual-use or export-control function,

and who bears the reserve-margin and price risk?

5. PCC: will the incentive package be reviewed for competitive neutrality against existing PEZA locators?

and will the United States accept an express exclusion clause?

5. How does the United States reconcile designating the Philippines as the site of its flagship Economic Security Zone with imposing a 12.5% forced-labour tariff on Philippine exports?

TO PROSPECTIVE INVESTORS,
INCLUDING FOXCONN

1. Will you disclose your identity, capital commitment, employment commitment with a wage floor, technology-transfer commitment and local-content commitment as a condition of entry?
2. Foxconn specifically: given the Wisconsin experience, will you accept performance-linked clawbacks tied to verified investment and hiring?

09

what to watch, and when

Exhibit 14. Indicators that distinguish the scenarios from one another, grouped by the horizon on which they resolve.

TO JULY 2027

the decisive period

Monthly net sentiment on a constant method, the earliest available proxy for

TO 2029

delivery against milestones

Actual capital deployed versus the US\$10bn initial target

whether disclosure, if it comes, changes anything

The #NoToPaxSilica-to-#PaxSilica ratio, currently 50 against 105

The channel mix, and whether official communication reaches Facebook, Reddit and X rather than the news wire

The water and land topic share, currently one-sidedly negative and growing

Whether a framework is signed in November 2026, and whether its text is published

Whether Annex A, the water balance and the grid study are published

Whether the Year-3 rent and lease term are fixed at signature, which is the clearest available signal of whether the Philippines negotiated or capitulated

Whether the framework contains clawbacks, employment covenants and local-content obligations

Whether the Senate asserts a concurrence role; whether a Supreme Court petition is filed

Whether any investor is named with a binding commitment and financial close

Whether Foxconn proceeds beyond due diligence, the single most informative signal available

Whether the DFC LNG project reaches a final investment decision

Whether the DOE approves grid connection, and at what tranche size,

Whether site development began in Q1 2028 as targeted

Firm generation and water storage commissioned, ahead of load, or behind it

Verified employment against milestones; the foreign-worker share against the stated under-10%

Realised tax revenue and published tax expenditure

Resolution or continued non-resolution of the Aeta CADT applications

Whether local suppliers have entered the value chain, and how many

Luzon reserve margin and the frequency of yellow and red alerts

measured against the 100–200 MW ceiling the Energy Secretary stated on 27 July 2026

Whether dedicated generation, the LNG import terminal and the Subic–Clark pipeline advance beyond feasibility studies

Whether officials stop issuing new job figures

TO 2031

whether it changed anything

Domestic value-added share of Zone exports, the single most important development metric

Number, revenue and employment of Philippine-owned supplier firms serving the Zone

Whether any activity moved beyond ATP into advanced packaging, design or materials

Industrial electricity price versus Indonesia and Vietnam, and whether the gap closed

Water availability for Tarlac agriculture; groundwater levels; drought performance

Compliance record: ECC violations, hazardous waste incidents, labour disputes

Whether the Zone remained multilateral or became bilateral in substance

what has changed

Substantive changes to this site and the assessment, newest first. A correction or a removal quotes the text it replaces, verbatim — so “nothing is silently revised” can be checked here rather than taken on trust. Changes before 7 August 2026 are recorded in Appendix H of the full report.

ADDITION

A second government's foreign ministry says the Declaration would create no legal obligations — and a twenty-sixth signatory is one step away without the count moving

3 September 2026 • v1.83 • assessment v2.44

On 2 September 2026 the Lithuanian government approved the country's participation in the Pax Silica Declaration and in a separate US-proposed critical-minerals agreement. Lithuania's Ministry of Foreign Affairs said in doing so that neither instrument is an international treaty and that neither would create legal obligations for Lithuania under international or national law — in the Lithuanian original, that they „nėra tarptautinės sutartys“ and „Lietuvai nesukurtų teisinių įsipareigojimų“. §8.2 carries that as corroboration of this assessment's existing reading and expressly not as its foundation: the non-binding conclusion has always rested on the Declaration's own operative language, and a foreign ministry's characterisation of an instrument to its own cabinet is interested evidence, since it is also what allows an executive to join without parliamentary ratification. §8.3 records the accession step as an approval to join and not an accession. The Cabinet's published meeting record establishes only that the matter was before it as agenda item 2; LRT/BNS establishes the outcome; the meeting protocol and the ministry's submission were not retrievable, and neither an executed instrument, nor a Lithuanian signature announcement, nor a State Department media note welcoming Lithuania was located as at 3 September 2026. The standing signatory count therefore remains 25, and Lithuania remains among the eleven economies that signed the separate Joint Statement on AI Opportunity without acceding to the Declaration. Four adversarial gate passes ran (Codex CLI, gpt-5.6-sol); the first three each refused something. The first refused the claim that the Cabinet agenda record documented the decision, on the ground that an agenda establishes consideration and not the outcome,

and struck an implication that Lithuanian accession is inevitable. The second refused the chronology row for converting the Lithuanian conditional into a categorical present tense; the original was then checked directly and the gate was right. The third required three further repairs, each turning a not-located search result back into a not-located result rather than proof of absence. The fourth found no defect. No Key Judgment, confidence level, scenario weight, precondition, red line or claim-checker row moves — the gate was asked at every pass and agreed each time, adding that strengthening confidence on a single interested government's characterisation would be disproportionate.

ADDITION

A cabinet department says its own assessment is unfinished; the Palace answers the “another location” question

2 September 2026 · v1.82 · assessment v2.43

Two official statements of 1 September 2026, recorded from a sweep of 88 candidates of which the adversarial gate let one onto the news rail. At the House budget briefing on the Department of Agriculture's 2027 budget, Gabriela Women's Party Rep. Sarah Elago asked whether the department had assessed the project's effects, citing reports that around 15,000 farmers and up to 20,000 Aeta people could lose their livelihoods and ancestral lands. Agriculture Secretary Francisco P. Tiu Laurel Jr. answered that the department is “still thoroughly assessing the full effects of Pax Silica” and that “our assessment is not yet finished”, estimating “perhaps, in another 30 days”, while offering an expressly tentative impression that “not that many people will be affected” — based partly, he said, on what he had seen on television. No DA administrative order, terms of reference, scope, method, team or commitment to publish was located here, so the thirty days is an estimate given under questioning and not a documented departmental timetable. Section 15.2.2 records this as preserving the finding that the affected-household count is unknown while adding mixed evidence: the unfinished assessment reinforces the uncertainty, and the Secretary's impression points toward the lower end of the dispute without verifying any figure. That balance is the gate's doing. Its most important catch was that our first draft presented the item as pure reinforcement of our own finding and suppressed the direction of the Secretary's impression; the published wording is its correction. Separately, at a Malacañang press briefing, Palace Press Officer Claire Castro, attributing the position to the DTI, said “On the Clark Advanced Manufacturing Park, there will be no data centers” and that, as to any other site, “there is no proposal yet regarding this”. Section 5.1 records it as the most categorical official assurance yet and leaves the finding unweakened, because an assurance is not an instrument: no proclamation, board resolution, master plan or bid document defining the

Park was located, and the statement sets no data-centre threshold, no own-use boundary, no decision-maker and no change-control rule. The gate refused three of the four rail items. It killed both Palace headlines — BusinessWorld’s for moving Castro’s boundary from New Clark City to “Clark”, which are not the same place, and BusinessMirror’s for adding “formal” to “no proposal yet” while its lede read that as no company having formally applied — and when asked which of the two it would allow onto an evidence-sensitive rail it answered “neither”. Because the rail carries publishers’ headlines verbatim, neither is on it; the substance is written here in our own words instead. It also killed the State Department’s own notice of the Foundry School launch, on the prospective-versus-completed distinction: the headline says “Launches”, the body says the launch will occur on 3 September, and the notice establishes no Philippine role and no new money. Six gate passes ran in all; both finding texts were refused three times before clearing. Among the other catches: the claim that the DA holds “the clearest mandate” over the affected livelihoods, struck because the Aeta ancestral-land dimension sits with the NCIP; “ten weeks before” the November signing, struck twice as false precision; two truncated quotations and one splice; and a draft assertion that Castro’s statement was “not a statement about the parcel’s permitted uses”, struck as false once the gate established that official reporting uses the Park’s name for the proposed development itself. No Key Judgment, confidence level, scenario weight, precondition, red line or claim-checker row moves. The date to which project facts are verified advances to 2 September 2026.

ADDITION

The water supply enters procurement — a bidder, a price and a December target, and still no water balance

1 September 2026 • v1.81 • assessment v2.42

On 28 August 2026 the BCDA Board granted original proponent status to a consortium of Maynilad Water Services Inc. and the Korea Water Resources Corporation (K-water), the operator of Angat Dam, for an unsolicited proposal reported at ₱14.8 billion to supply water and manage wastewater at New Clark City. It must still clear the public-private partnership process and a Swiss challenge, and BCDA’s December 2026 award date is a conditional target. This is the first concrete procurement step toward the water this report calls the binding constraint, and the first thing to say about it is what it is not: original proponent status is not a contract award, not a construction commitment, and not evidence that the water exists. Three BCDA figures arrived with it, all attributed and none verified. New Clark City’s existing capacity is an estimated 20–30 million litres a day. Estate capacity could rise to as much as 150 MLD, with the initial system designed for up to 135 MLD. And contemporaneous reporting of the grant repeated BCDA’s earlier

estimate that Pax Silica could eventually require 65–90 MLD. Two ratios follow: this one project wants between 2.2 and 4.5 times everything New Clark City can supply today, and roughly half to two-thirds of the initial designed capacity of a system that must also serve every other user in the estate. Those are offered as scale and not as an allocation — nothing establishes that the 135 MLD would be available here, and the system is an estate-wide utility rather than a Pax Silica project. What the procurement step does not supply is the thing the water section has asked for throughout. As at 1 September 2026 no water balance, catchment delineation, dry-season yield analysis, flow-duration curve, dependable drought yield, withdrawal inventory or environmental-flow reservation for this system was located in publicly available BCDA, Maynilad, K-water, NWRB or DENR-EMB material, and the announcement of the grant identifies no selected catchment. We state that as a publication finding rather than a claim that no such work exists — an unsolicited proposal accepted to this stage presumably rests on technical work, and the point is that none of it is public at the moment the process moves. A December award on a proposal whose water balance has never been published would place the contract ahead of the evidence. The catchment arithmetic does not change and neither does the conclusion it supports. Separately, the social-screening section records the launch in Quezon City on 31 August 2026 of the Network Opposed to Pax Silica, the first named national multi-sectoral coalition against the project, at which Petronila Capiz-Muñoz, identified as chieftain of the Aeta community at Sitio Sapang Kawayan, said the community had not been consulted and had again been told to leave, this time by December. That is attributed testimony; its weight is that it carries in the chieftain's own voice, at a public event, the account this report has held since 18 August from two other residents. It establishes no official deadline, and displacement remains disputed. The adversarial gate ran one pass over five numbered claims and refuted one of them: the drafter had written that BCDA restated the 65–90 MLD requirement, and the gate held that the BCDA-derived announcement does not itself restate it, so the published wording is the gate's own. It also struck a categorical claim that no hydrological analysis exists in favour of the dated publication finding above, forbade any implication that the 135 MLD would be available to this project, forbade describing the system as rainwater-only, forbade adopting a concession term while February reporting says 50 years and Maynilad's August disclosure says 25, and required the chieftain's account to be carried strictly as testimony. Asked directly whether any of this justifies moving a key judgment, confidence level, scenario weight, precondition or red line, it answered no. Nothing moves. One figure was adjudicated at rail level and is recorded here because the record should show it: the Manila Bulletin reported the project as ₱5 billion in its headline and ₱4.8 billion in its body, against ₱14.8 billion in BusinessMirror, the Philippine News Agency and the roughly ₱15 billion reported when the proposal first surfaced in February. The gate held ₱14.8 billion safe to carry; only that figure is used.

One dated thing now sits between today and November — a corridor investment forum, and it is not a Pax Silica event

29 August 2026 • v1.80 • assessment v2.41

The timeline gains 10–11 September 2026: the inaugural Luzon Economic Corridor Investment Forum in Manila, co-hosted by the governments of the United States, the Philippines and Japan and sponsored by the US Trade and Development Agency, convening a stated 600 investors, industry leaders and senior officials. USTDA's own .gov pages establish every element of that — the dates, the venue, the three co-hosts, the 600 figure, programme themes including advanced manufacturing, a partner list running from Australia to the United Kingdom, visits to prospective project locations at Subic Bay, Clark and Batangas, and attendance that is 'restricted and subject to approval'. What those pages do not do is mention Pax Silica, semiconductors, New Clark City or the proposed economic security zone, and the new row says so on its face. The forum is recorded because it dates the window before the November framework target, not because it evidences anything about the hub. The item reached this report sideways. A Bulatlat report published 28 August carried the argument of ILPS Philippines' secretary-general that Executive Order No. 122 was issued ahead of this forum; the adversarial gate, checking that report, confirmed the forum independently against USTDA and supplied the exact dates. The inference about the order did not come with it: no finding is made that EO 122 was timed for the forum, consistent with yesterday's page-by-page reading of the certified order, which names neither Pax Silica nor the United States. A sequence of dates is not a causal link. The finding-level gate cleared the new row only after striking two of its formulations. It refused the drafter's flat assertion that 'the proposed hub sits within the LEC' — true elsewhere in this report, but not something the USTDA notice establishes — and refused 'the agenda and speakers were not retrieved', which is imprecise where those pages are reachable and simply carry nothing yet. It also warned against implying that official material is silent on Clark, since the announcement names Clark among the locations to be visited. The published row states both things and does not collapse them. Three other candidates were gated today and all three were refused, which is why they are absent rather than present. A report of remarks by the US Senior Official to APEC on Pax Silica failed because no US-government transcript or readout substantiating the quotations was reachable. A report headlined that more than 700 indigenous people may be affected failed because the figure of '73 families or more than 700 individuals' appears only in the outlet's own narration and not in any quotation it attributes to the NCIP chairperson, no other outlet carries it, and it reconciles with none of the non-comparable estimates already on this record. No count changes, and the report's finding that no current, published, parcel-

specific enumeration has been identified is unchanged. The third refusal is the one worth reading. A national daily attributed to a University of the Philippines discussion paper the warning that the Pax Silica site at New Clark City risks repeating the Bataan export-zone outcome. The gate refuted the attribution; the paper was then retrieved and read directly, and it confirms the refutation rather than overturning it. The passage warning that the project 'risks repeating history and becoming yet another primarily logistics-oriented initiative' is about the Luzon Economic Corridor, and Pax Silica appears in the paper only in a footnote. Nothing from that report enters this document. No Key Judgment, confidence level, scenario weight, precondition or red line moves, and no published number changes.

ADDITION

The critical-minerals executive order is no longer a report about an instrument — the certified text is in hand

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Since 24 August this report has carried Executive Order No. 122 as reporting rather than as an instrument, saying plainly that it had not located or authenticated the order's operative text. It has now been located. A certified copy — seven pages, stamped by the Malacañan Records Office on 19 August 2026 — was retrieved from the Official Gazette's own government domain on 28 August and read page by page. The reason four days of searching had failed is worth stating, because it is a trap anyone could fall into: the Gazette's website returns a security challenge on every ordinary article and section page, but serves the document itself directly from its downloads path. Reading the text confirms most of what had been reported and corrects three things this report had published. It also settles a narrower question: across all sixteen sections the order imposes no export prohibition, quota, levy or licensing requirement on mineral ore — so the comparison this report draws with Indonesia's nickel policy is no longer conditional on an unseen text, though it remains conditional on commodity coverage, on market position, and on the supplemental guidelines the order expressly leaves to be written. Two things we are not doing. We are not treating the order's silence as a record that the government considered and rejected an export restriction; silence in an instrument is not a decision. And we are not letting a mining order that never mentions Pax Silica, the United States or New Clark City move any judgment about the project — the adversarial gate called that analytical laundering, and it was right. No Key Judgment, confidence level, scenario weight, precondition or red line moves.

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about this assessment

Independent and Philippines-centred. Decision-grade means it supports one decision: whether to sign in November. It is not engineering-grade or transaction due-diligence grade. Site v1.83, reflecting assessment v2.44. Maintained as a living document: project facts verified to 3 September 2026, last updated 3 September 2026, reviewed daily, with immediate review on trigger events. Comparator, legal and technical sources verified through 27 July 2026; these move only when re-verified. The fifth State of the Nation Address of 27 July is incorporated from the Official Gazette transcript. Nothing is silently revised: every substantive change is versioned, logged and, where it corrects something previously published, stated as a correction rather than edited away. The version current when the November framework is signed will be frozen as the permanent pre-signature record. Structured scoping review, not PRISMA-compliant and not described as such. A single integrated research synthesis. No human expert peer review has been obtained. No fieldwork. Maintenance disclosure: this site is operated by AI systems under human editorial direction. Institutional sources and Philippine media are swept every morning; social-media data is collected and classified daily. Nothing on this site changes until the underlying claim has passed an adversarial verification step performed by a second, independent AI model attempting to refute it, and no Key Judgment moves on a single source. Every change is versioned and logged; corrections are stated as corrections.

evidence tiers

Tier 1: US State Department media notes and fact sheets; the BCDA proposal letter and Note Verbale JMGR-NV-145-2026; PSA and CPBRD statistical series. Tier 2: Philippine national media. Tier 3: industry associations and analysis. Tier 4: stakeholder statements. Primary text beats characterisation throughout.

Final editorial authority, and the decision to publish, rest with the human publisher.

known limitations

Only two Philippine primary documents are public. Annex A is referenced and absent. Site rainfall, catchment, aquifer and seismic data are unpublished, so the water and power models use parametric ranges that must be re-run against site data when it exists.

currency

PHP 61.85 = US\$1 throughout, the peso's record-low close of 24 July 2026. Where a source gives pesos, the figure is reported as given and converted.

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